FILED
26-0153
6/19/2026 2:59 PM
tex-116377795
SUPREME COURT OF TEXAS
BLAKE A. HAWTHORNE, CLERK

No. 26-0157; 26-0153
(Consolidated for Briefing Purposes Only)

IN THE SUPREME COURT OF TEXAS

SAN PATRICIO COUNTY APPRAISAL DISTRICT,
Petitioner,

v.
GUNVOR USA LLC.,
DEVON GAS SERVICES, L.P., AS AGENT FOR GLENCORE, LTD.,
Respondents.

FROM THE COURT OF APPEALS FOR THE THIRTEENTH COURT OF APPEAL AT CORPUS CHRISTI & EDINBURG, TEXAS
NO. 13-24-00590-CV & 13-25-00027-CV

PETITIONER'S CONSOLIDATED BRIEF ON THE MERITS

LOW SWINNEY EVANS & JAMES, PLLC
Kirk Swinney
State Bar No. 19588400
kswinney@lsejlaw.com
Mayank Raj
State Bar No. 24144596
mraj@lsejlaw.com
120 S. Lakeline, Bldg. 4, Ste. 200
Cedar Park, Texas 78613
Phone (512) 379-5800

ATTORNEYS FOR PETITIONER SAN PATRICIO COUNTY APPRAISAL DISTRICT

PARTIES AND COUNSEL

Pursuant to Texas Rule of Appellate Procedure 55.2, Petitioner San Patricio County Appraisal District provides this list of all parties to the district court's judgment and the names and addresses of all trial and appellate counsel:

Petitioner: San Patricio County Appraisal District

Trial Counsel for Petitioner:

Kirk Swinney
E. Barry Gaines
Robert F. Maier
Mario D. Zavala Jr.
Mayank Raj
LOW SWINNEY EVANS & JAMES, PLLC
120 S. Lakeline, Bldg. 4. Ste. 200
Cedar Park, Texas 78613
Phone (512) 379-5800

Appellate Counsel for Petitioner:

Kirk Swinney
Mayank Raj
LOW SWINNEY EVANS & JAMES, PLLC
120 S. Lakeline, Bldg. 4. Ste. 200
Cedar Park, Texas 78613
Phone (512) 379-5800

Respondent: Gunvor USA LLC and Devon Gas Services LP.

Trial Counsel for Respondent:

William Ikard
Timothy E. Young
Miranda Grummons
IKARD YOUNG LLP

2901 Via Fortuna, Suite 450
Austin, TEXAS 78746
Phone (512) 275-7880

Appellate Counsel for Respondent:

William Ikard
IKARD YOUNG LLP
2901 Via Fortuna, Suite 450
Austin, Texas 78746

Daniel Durrell
Cole Hutchison
TROUTMAN PEPPER LOCKE LLP
300 Colorado Street, Ste. 2100
Austin, Texas 78701
Phone (512) 305-4714

TABLE OF CONTENTS

PARTIES AND COUNSEL ii

TABLE OF CONTENTS iv

INDEX OF AUTHORITIES v

STATEMENT OF THE CASE 1

ISSUES PRESENTED 2

STATEMENT OF FACTS 3

SUMMARY OF ARGUMENT 8

ARGUMENTS AND AUTHORITIES 10

I. Applicable Standard of Review 10

II. The Oil Is Taxable Regardless of Whether it is Exported 11

A. Non-discriminatory taxes on imports or exports are allowed 11

B. The oil is not merely passing through Texas since it came from the ground in Texas and it has a substantial nexus to Texas. 17

C. The oil is not merely passing through Texas since it is constantly present in substantial quantities 19

D. Stream of Export 24

E. Cases cited by Respondent are distinguishable 26

CONCLUSION AND PRAYER 29

CERTIFICATE OF COMPLIANCE 31

CERTIFICATE OF SERVICE 31

APPENDICES 32

INDEX OF AUTHORITIES

Page(s)

U.S. Constitution

U.S. CONST., art. I, § 9, cl. 5 ..... 23, 28

U.S. CONST., art. I, § 10, cl. 2 ..... 1, 8, 9, 11-13, 17, 23, 24, 27-29

Cases

Auto Cargo, Inc. v. Miami Dade Cnty., 237 F.3d 1289 (11th Cir. 2001) 12, 14

Bullock v. National Bancshares Corp., 584 S.W.2d 268 (Tex. 1979) 24

Carson Petroleum v. Vial, 279 U.S. 95 (1929) 28

Commonwealth Edison Co. v. State of Montana, 453 U.S. 927, 101 S.Ct. 2946 (1981) 16

Complete Auto Transit, Inc. v. Brady, 429 U.S. 813. 97 S.Ct. 52 (1976) 15

ConocoPhillips Co. v. Koopmann, 547 S.W.3d 858 (Tex. 2018) 10

Department of Revenue of the State of Wash. v. Association of Wash. Stevedoring Cos., 435 U.S. 734, 98 S.Ct. 1388 (1978) 12, 14, 15, 23

Diamond Shamrock Ref. & Mktg. Co. v. Nueces County Appraisal Dist., 876 S.W.2d 298 (Tex. 1994) 8-9, 16, 19, 22-23, 26-28

ETC Marketing, Ltd. v. Harris County Appraisal Dist., 528 S.W.3d 70 (Tex. 2017) 20-21

Exxon Corp. v. San Patricio County Appraisal Dist., 822 S.W.2d 269 (Tex. App.—Corpus Christi, 1992, writ denied) 4, 15, 20-22, 28

In re Appeals of Various Applicants from a Decision of Div. of Prop. Valuation of State for Tax Year 2009 Pursuant to K.S.A. 74-2438, 298 Kan. 439, 313 P.3d 789 (2013) 18-19

Itel Containers International Corp. v. Huddleston, 507 U.S. 60, 113 S.Ct. 1095 (1993) 27

Kosydar v. National Cash Register Co., 417 U.S.62, 94 S.Ct. 2108 (1974) 25

Lightning Oil Co. v. Anadarko E&P Onshore, LLC,520 S.W.3d 39 (Tex. 2017) 10

Michelin Tire Corp. v. Wages, 423 U.S. 276, 96 S.Ct. 535, 46 L.Ed.2d 495 (1976) 9, 11-14, 17, 21, 27-28

Midland Cent. Appraisal Dist. v. BP America Production Co., 282 S.W.3d 215 (Tex. App. – Eastland 2009, pet. denied) 28

Mobile Oil Corp. v. Comm'r of Taxes of Vermont, 445 U.S. 425, 100 S.Ct. 1223 (1980) 14

Patterson-UTI Drilling Co., LP v. Webb County Appraisal Dist., 182 S.W.2d 14 (Tex. App.—San Antonio, 2005, no pet.) 22

R.J. Reynolds Tobacco Co. v. Durham Cnty., N.C., 479 U.S. 130, 107 S.Ct. 499, 93 L. Ed. 2d 449 (1986) 13-14

Richfield Oil Corp. v. State Bd. of Equalization, 329 U.S. 69, S.Ct. 156 (1945) 27-28

South Dakota v. Wayfair, Inc., 585 U.S. 162, 138 S.Ct. 2080, 201 (2018) 14

State v. Ninety Thousand Two Hundred Thirty–Five Dollars & No Cents in U.S. Currency, 390 S.W.3d 289 (Tex. 2013) 10

United States v. International Business Machines Corporation, 517 U.S. 843, 116 S.Ct. 1793 (1996) 28

U.S. Steel Mining Co. v. Helton, W. Virgina State Tax Commissioner, 631 S.E.2d 559 (W. Va. 2005) 18

Valence Operating Co. v. Dorsett, 164 S.W.3d 656 (Tex. 2005).....10

Vinmar, Inc. v. Harris County Appraisal Dist., 947 S.W.2d 554 (Tex. 1997).....26

Virginia Indonesia Co. v. Harris County Appraisal Dist., 910 S.W.2d 905 (Tex. 1995) 9, 18, 20, 26-27

Williams Farms Produce Sales, Inc. v. R & G Produce Co., 443 S.W.3d 250 (Tex. App.—Corpus Christi 2014, no pet.); 3

Statutes

TEX. TAX CODE § 11.01 .....15, 17, 21-22, 27-28

TEX. TAX CODE § 11.12 .....1, 17

TEX. TAX CODE § 21.02. 24

TEX. TAX CODE § 23.01..... 15, 24, 28

TEX. TAX CODE § 23.12 7

Rules

TEX. R. APP. P. 9.4.....31

TEX. R. APP. P. 55.2..... ii

TEX. R. EV. 201. 3

TEX. R. EV. 902. 3

STATEMENT OF THE CASE

Gunvor USA, LLC., henceforth "Gunvor", and Devon Gas Services, L.P. As Agent for Glencore, LTD., henceforth "Devon" contends that their oil in the tank farms in San Patricio County is exempt from ad valorem taxation under the Import-Export Clause of the United States Constitution, U.S. CONST. art. 1, § 10, cl. 2, as adopted by TEX. TAX CODE § 11.12. The trial court granted summary judgments in favor of Gunvor and Devon. Gunvor 1 C.R. at 1307.[1] The Thirteenth Court of Appeals affirmed on the grounds of the Import Export Clause. No motions for rehearing or consideration *en banc* are pending.

Trial Court: 156th and 36th District Court of San Patricio County, Texas, Judge Patrick L. Flanigan and Judge Star Boldrick Bauer presiding, respectively.

Court of Appeals: Thirteenth Court of Appeals sitting in Corpus Christi, Texas, Justices Ysmael Fonseca (author of opinion), Jaime Tijerina and Jenny Cron presiding, in both cases.

Citation: 2026 WL 59714, NO. 13-25-00590-CV and NO. 13-25-00027-CV, January 8, 2026.

[1] Devon 1 C.R. at 937.

ISSUES PRESENTED

1. Should the trial court have denied summary judgments in favor of Gunvor and Devon because the oil was not merely passing through Texas and had a substantial nexus to Texas?

2. Should the trial court have denied summary judgment for Gunvor and Devon on the merits because the oil is taxable, regardless of the Import-Export Clause, as it is constantly present in substantial quantities in San Patricio County, and not in foreign transit?

STATEMENT OF FACTS

The court of appeals did not materially misstate the facts. But, neither did it acknowledge some of the seminal facts detailed below.

The South Texas Gateway Terminal and Pin Oak Taft Terminal are massive tank farms located along the coast in San Patricio County, Texas. Oil is delivered to the tank farms via pipelines originating primarily in the Permian Basin area of western Texas. The tank farms store the oil for shippers such as Gunvor and Devon. Gunvor 1 C.R. at 897.[2]

Public records produced reveal a massive quantity of oil present at all times in San Patricio County. The tank farms in issue are South Texas Gateway ("STG") and Pin Oak Taft ("Pin Oak" or "POT"). Gunvor 1 C.R. at 235.[3] A summary of reports filed with the Texas Railroad Commission by the tank farms are attached as Appendix A. Gunvor 1 C.R. at 562-790.[4] [5] The summary spreadsheets[6] reveal that the South Texas Gateway Terminal during the year 2021 never had an end of the

[2] Devon 1 C.R. at 496.
[3] Devon 1 C.R. at 393.
[4] Devon 1. C.R. at 604-676. Cite is to shipper statements, not T-1s, since POT did not file any.
[5] Documents printed from government websites are self-authenticating under Texas Rule of Evidence 902(5); *Williams Farms Produce Sales, Inc. v. R & G Produce Co.*, 443 S.W.3d 250, 259 (Tex. App.—Corpus Christi 2014, no pet.); s*ee also* TEX. R. EV. 201(b) (providing that a court may judicially notice a fact that is not subject to reasonable dispute because it can be accurately and readily determined from sources whose accuracy cannot reasonably be questioned).
[6] The spreadsheets are summaries of the information provided in the T-1 reports. They are not official documents produced by the Railroad Commission.

month balance less than 2,351,101 barrels and an average of those months that exceeded 2,800,000 barrels. Gunvor 1 C.R. at 552-553. In one of those reports, dated March 2021, one can discern that the South Texas Gateway Terminal (STG) started the month with 2,926,397 barrels of oil. It received 6,032,945 barrels, delivered 4,370,085 barrels, and ended the month with 4,564,947 barrels in stock. Analyzing the T-1 reports filed of record by STG reveals that the STG tanks received 35,513,424 barrels of oil in 2020, 80,895,527 barrels in 2021, 140,351,473 barrels in 2022, and 23,415116 barrels in 2023. Gunvor 1 C.R. at 562-790, South Texas Gateway T-1 reports.[7] It delivered out of its tanks 33,891,392 barrels in 2020, 82,418.522 barrels in 2021, 140,007,915 barrels in 2022, and 21,565,816 barrels in 2023. In each of those years, after its start in 2020, the tanks never contained less than 2,351,101 barrels in 2021, 1,862,529 barrels in 2022, and 2,655,438 barrels in 2023. The oil at the STG Terminal dwarfs the massive amount of oil in the tanks observed in the *Exxon Corp. v. San Patricio* case *infra*.[8]

Records produced by Pin Oak Taft regarding the Pin Oak tank farm are confidential documents in the record. Devon 1 C.R. at 604-676. Devon received roughly 13,237,798 barrels and delivered 13,700,179 barrels between July 2021 and

[7] South Texas Gateway did not file with the Railroad Commission all reports for all the months during the relevant time period. The numbers stated do not include that of the missing months. If provided the necessary information, these numbers would be millions higher.

[8] The parties stipulated and the court found that Exxon maintained over 400,000 net barrels of crude oil in the county at all times. See *Exxon Corp. v. San Patricio*, at 272.

April 2024. Devon 1 C.R. at 592. Analyzing the POT Shipper Statements reveals that the POT tanks in total received 653,361 barrels of oil in 2021, 7,130,600 barrels in 2022, 10,919,327 barrels in 2023, and 2,403,144 barrels in the first four months of 2024. Devon 1 C.R. at 604-677. It delivered out of its tank 519,707 barrels in 2021, 5,038,188 barrels in 2022, 11,086,368 barrels in 2023, and 2,376,030 barrels in the first four months of 2024. *Id*.

Including the tank heels, Gunvor never had less than 1,902,529 barrels of oil at STG and averaged over 2,800,000 barrels at STG in the year prior to the appraisal date. Gunvor 1 C.R. at 562-790. What is on the appraisal roll is 428,576 barrels of oil which was present at STG and owned by Gunvor on September 1, 2022, the appraisal date in issue, or about 6% of the known quantity of oil Gunvor owned and moved in and out of the tank farm in 2022.

Including the tank heels, the POT tanks never contained less than 92,431 barrels in 2021, 93,326 barrels in 2022, and 94,360 barrels in 2023 and averaged over 154,000 barrels at POT in the year prior to the appraisal date. Devon 1 C.R. 604-677. There are 219,546 barrels of oil on the appraisal roll, which was present at Pin Oak and owned by Devon on January 1, 2023, the appraisal date in issue, or about 4.3% of the known quantity of oil Devon owned and moved in and out of the tank farm in 2022, and 2% of the oil Devon moved through POT in 2023.

The shippers sell the oil to others who receive the oil from the tank farms into oil tankers sitting at the tank farm docks in Corpus Christi Bay. From there, Gunvor and Devon represent, though with questionable reliability, that the oil is shipped to foreign destinations. They do not actually know what happens to the oil after it transfers the oil to a purchaser in Corpus Christi Bay. Gunvor 1 C.R. at 881.[9] The contracts by which Gunvor and Devon sell oil to the parties that take it away from the port call for purchase of oil at respective coastal tank farms, not anywhere upstream. I Gunvor C.R. at 1007.[10] Furthermore, title and risk transfers from Gunvor or Devon to the purchaser at the flange of the ship at it receives the oil from the tank farms as the ship sits at the dock of the tank farms. Gunvor I C.R. at 884.[11] While their oil is in the tank farms, Gunvor and Devon retain power to redirect the oil in whatever way they choose. Gunvor I C.R. at 801.[12]

Oil that comes into the onshore terminals is not inextricably bound for foreign export as Gunvor and Devon may maintain. There is nothing that prohibits oil from being shipped to domestic locations. Gunvor I C.R. 794.[13] In fact, in other cases that have not at this point reached this Court, the oil owners specifically describe sums of oil shipped overseas and other sums taken to domestic refineries. While

[9] Devon 1 C.R. at 680 (13:6-15); 710-711(45:14-46:16).
[10] Devon I C.R. at 721
[11] Devon I C.R. at 789
[12] Devon I C.R. at 680-681
[13] Devon I C.R. at 680

admittedly complicated to discern, the shipper statements issued by STG illustrate that oil is not coming into the tank farm and be shipped into international commerce on a one to one basis. For example, in August, 2022, the most seminal month for examination for the September 1, 2022[14], Gunvor started the month with negative 1,574 barrels of oil in inventory. It brought another 1,992,316 barrels into STG, and only offloaded into ships 1,878,996 barrels. Conspicuously, it transferred to other parties in the STG terminal or acquired from other parties in the STG a net 305,195 barrels. Gunvor I C.R. 919-920. In its motion for summary judgment, Gunvor alleged that it sold to a shipper which then transported to India 1,168,936 barrels. Gunvor I C.R. 238. The meanings of the various entries are described at Gunvor I C.R. 818-820. Though on a much smaller scale, similar movements may be observed for Devon. Devon I C.R. 604-676. The explanations of entries are at Devon I C.R. 671-684. According to Devon's Motion for Summary Judgment, it sold to exporters 2,227,459 barrels in January, 2023. Devon I C.R. 396. It began the month with 219,546 barrels in POT, and brought in some 533,067 barrels during January, for a total of 752,613 barrels, or 1,474,846 barrels fewer than it sold. Clearly something else is happening other than bringing a barrel to POT and selling that barrel in a ship in the bay. Devon I C.R. 622.

[14] Gunvor elected September 1 appraisal, TEX. TAX CODE § 23.12(f)

SUMMARY OF ARGUMENT

There was a constant presence of a substantial quantity of Texas produced oil present in the South Texas Gateway Terminal and Pin Oak Taft Terminal, located in San Patricio County, from the middle of 2020 through the valuation dates. Given the constant presence of the oil, it was not embarked in transit in international commerce. Furthermore, since the oil came from Texas and was still in Texas as of the valuation dates, the oil was, by definition, not merely passing through the state such that that taxation might offend the Import Export Clause of the Constitution by infringing on the federal government's "one voice" policy.

Gunvor and Devon presented the oil as individual barrels which only pass through the tank farms in transit to a ship which allegedly then takes it to foreign locations. The trial court and court of appeals agreed. But this Court, as well as the court of appeals previously, have held otherwise. Oil in tank farms has a constant presence that subjects it to situs in the county that supports taxation. Oil being imported into the country from foreign locations is also at rest and has a nexus to Texas and San Patricio County particularly because it is not viewed as individual barrels but as a massive quantity constantly present. *See Diamond Shamrock, infra.* It is illogical to assume that oil in tank farms precedent to being exported is viewed as individual barrels in transit when oil that is being imported and oil coming into the county from in-state locations and leaving to in-state destinations is viewed as a

constant mass quantity. Since there is a constant presence of a substantial quantity of oil in San Patricio County, that oil is not merely passing through Texas or San Patricio County. Neither had it actually been committed to international transport.

Furthermore, since the oil originated in Texas, and it established substantial contacts with Texas such that a nexus is established, the oil cannot be merely passing through Texas or San Patricio County.

The United States Supreme Court in *Michelin Tire v. Wages, infra*, has held that a non-discriminatory tax such as a generally applicable property tax does not violate the Import-Export Clause other than when the property in question is merely passing through the taxing state. The same analysis that applies to imports equally applies to imports.

As developed below, the federal case law on point, including *Michelin Tire v. Wages*, 423 U.S. 276, 96 S.Ct. 535 (1976), the hydrocarbons being exported are clearly, under the circumstances in issue, taxable at the local level by the generally applicable and non-discriminatory ad valorem tax in issue. Additionally, this Court's precedence in *Diamond Shamrock v. Nueces Cty. Appraisal Dist.* 876 S.W.2d 298 (Tex. 1994) is consistent with the taxation of the oil that may be exported. The courts below have, mistakenly, applied this Court's decision in *Virginia Indonesia v. Harris Cty. Appraisal Dist.*, 910 S.W.2d 905 (Tex. 1995) to

hold that there should be no ad valorem tax on oil in storage that may be later exported.

ARGUMENTS AND AUTHORITIES

I. Applicable Standard of Review

"We review grants of summary judgment *de novo*." *Lightning Oil Co. v. Anadarko E&P Onshore, LLC*, 520 S.W.3d 39, 45 (Tex. 2017) (*citing Valence Operating Co. v. Dorsett*, 164 S.W.3d 656, 661 (Tex. 2005)). "When a trial court does not specify the grounds it relied upon in making its determination, reviewing courts must affirm summary judgment if any of the grounds asserted are meritorious." *Lightning Oil Co.*, 520 S.W.3d at 45 (*citing State v. Ninety Thousand Two Hundred Thirty–Five Dollars & No Cents in U.S. Currency*, 390 S.W.3d 289, 292 (Tex. 2013)). "When reviewing a summary judgment, we take as true all evidence favorable to the nonmovant, and we indulge every reasonable inference and resolve any doubts in the nonmovant's favor." *ConocoPhillips Co. v. Koopmann*, 547 S.W.3d 858, 865 (Tex. 2018).

II. The Oil Is Taxable Regardless of Whether it is Exported

A. Non-discriminatory taxes on imports or exports are allowed

A non-discriminatory ad valorem tax on goods being exported is not offensive to the United States Constitution, contrary to Gunvor and Devon's argument. The Thirteenth Court of Appeals misunderstood and misapplied the law in its opinion. Imports and exports do not enjoy immunity from local taxation simply if they may reach foreign destinations. The U.S. Supreme Court discarded the broad prohibition against any and all taxation upon imports and exports in *Michelin Tire Corp. v. Wages*, 423 U.S. 276, 96 S. Ct. 535, 544 46 L.Ed.2d 495 (1976), opting instead to focus on the nature of the tax to determine whether it violated the Import-Export Clause. U.S. CONST., ART. I, § 10, cl. 3.

In *Michelin*, the United States Supreme Court held that an ad valorem tax assessed by the State of Georgia did not violate the Import-Export Clause because it was not an "Impost or Duty" within the meaning of the Clause, establishing that states may impose generally applicable, nondiscriminatory taxes even if those taxes fall on imports or exports. The Court also recognized that a "non-discriminatory ad valorem property tax obviously stands on a different footing," and is not "the type of state exaction which the Framers of the Constitution or the Court in *Brown* had in mind" within the meaning of the Import-Export Clause. *Michelin*, 423 U.S. at 283, 290. In doing so, the Court abandoned the previously held (and still commonly mis-

held) belief that the Import-Export Clause bans all taxes on imports and exports and instead looked to see if the tax offended any of the policy considerations that lead to the creation of the Clause:

> The Framers of the Constitution thus sought to alleviate three main concerns ...: the Federal Government must speak with one voice when regulating commercial relations with foreign governments, and tariffs, which might affect foreign relations, could not be implemented by the States consistently with that exclusive power; import revenues were to be the major source of revenue of the Federal Government and should not be diverted to the States; and harmony among the States might be disturbed unless seaboard States, with their crucial ports of entry, were prohibited from levying taxes on citizens of other States by taxing goods merely flowing through their ports to the other States not situated as favorably geographically.

Id. at 285–286 [96 S. Ct., at 540–41] (footnotes omitted).

The Court found the ad valorem tax at issue did not offend any of these three policies, and further noted that if nondiscriminatory ad valorem property taxation would not further the objectives of the Import-Export Clause, "only the clearest constitutional mandate should lead us to condemn such taxation . . . [t]he terminology employed in the Clause 'Imposts or Duties' is sufficiently ambiguous that we decline to presume it was intended to embrace taxation that does not create the evils the Clause was specifically intended to eliminate." *Id*. at 293-294.

Although *Michelin* was an import case, the Supreme Court made clear in *Washington Stevedoring, infra,* that the *Michelin* analysis applies to cases involving exports as well as imports. *See Auto Cargo, Inc. v. Miami Dade Cty*., 237 F.3d 1289,

1293 (11th Cir. 2001) (stating that *Michelin* framework is clearly a general one and not restricted simply to the facts under consideration in that case). According to *Michelin*, a state exaction is valid unless it interferes with the three policy concerns that motivated the Framers in adopting the Import–Export Clause: 1) maintaining federal uniformity in foreign commercial relations; 2) preventing the diversion to the states revenue generated by imported goods; and 3) maintaining harmony among the states by preventing states from taxing goods flowing through seaboard states' ports to (or from) other states. *Michelin*, 423 U.S. at 285–86.

In the instant case, San Patricio CAD's assessment of an ad valorem tax on oil continuously present in San Patricio County does not frustrate the three policies underlying the Import-Export Clause. As the *Michelin* court pointed out, such "nondiscriminatory property taxation can have no impact whatsoever on the Federal Government's exclusive regulation of foreign commerce, probably the most important purpose of the Clause's prohibition." *Id.* at 286. Second, the tax at issue does not impact revenues to which the federal government would be entitled since the Export Clause prohibits Congress from taxing exports. In essence, the ad valorem tax is nothing more than a means "by which a State apportions the cost of such services as police and fire protection among the beneficiaries according to their respective wealth." *R.J. Reynolds Tobacco Co. v. Durham Cnty., N.C.*, 479 U.S. 130, 154, 107 S.Ct. 499, 514, (1986) (citing *Michelin* at 287). Lastly, the third policy

of preventing interstate rivalry is satisfied if the tax falls upon a taxpayer with reasonable nexus to the State, is properly apportioned, does not discriminate, and relates reasonably to services provided by the State. *See Department of Revenue of Wash. v. Association of Wash. Stevedoring Cos.*, 435 U.S. 734, 98 S.Ct. 1388, (1978); *Auto Cargo, Inc. v. Miami Dade Cnty.*, 237 F.3d 1289, 1293 (11th Cir. 2001) (upholding port inspection fee imposed by county to be properly apportioned, nondiscriminatory, and reasonably related to the services provided by the county).

While *Michelin* recognized that nondiscriminatory ad valorem taxes may increase the cost of goods, "such taxation is the quid pro quo for benefits actually conferred by the taxing state." *Michelin*, 423 U.S. at 288–89, 96 S.Ct. at 542. As the Supreme Court noted in *R.J. Reynolds Tobacco*, a failure to assess the tax would shift the tax burden from Gunvor and Devon to the local taxpayers of San Patricio County, "a result completely at odds with *Michelin*." 479 U.S. at 154, 107 S.Ct. 499. Furthermore, the transporting of oil in Texas and selling of oil in Texas and storing the oil in Texas creates sufficient nexus with the State of Texas that, even for oil that might have originated in New Mexico, nexus with Texas is established**.** When the owner of goods avails itself and the goods with significant economic contacts with a state, the goods establish taxable nexus with that State. *South Dakota v. Wayfair, Inc*., 585 U.S. 162, 138 S.Ct. 2080, (2018); *Mobile Oil Corp. v. Comm'r of Taxes of Vermont*, 445 U.S. 425, 437, 100 S.Ct. 1223, 1231 (1980).

The Supreme Court also held in *Department of Revenue of Wash. v. Association of Wash. Stevedoring* that the standards set forth in *Complete Auto Transit, Inc. v. Brady*, 429 U.S. 813, 97 S.Ct. 52 (1976) for determining whether a good in the stream of interstate commerce is, nevertheless, taxable locally, is also applicable to whether goods in the stream of international commerce are nevertheless taxable. The four-part test is, one, whether the good has sufficient nexus to the taxing state, two, whether the tax is fairly apportioned, three, whether the tax discriminates against the interstate movement, and fourth, whether the goods and service rendered by the taxing unit are sufficiently related to the services provided.

No property tax can fail to meet the standard of being fairly apportioned or not discriminating against goods in the stream of any commerce. The Texas property tax applies to all goods equally. TEX. TAX CODE §§ 11.01, 23.01. In this case, the tax is also fairly related to the goods and service provided. Note that the property tax, the engine of local government finance, provides the goods and service mentioned above of which the oil in STG and POT is benefited. The tax is fairly calculated and apportioned and contains no element of discrimination. The tax is reasonably related to the services provided by San Patricio County and the state of Texas. *See Exxon Corp. v. San Patricio Cnty. Appraisal Dist.*, 822 S.W.2d 269, 275 (Tex. App.—Corpus Christi–Edinburg 1991, writ denied) (noting that rendition of

public services provided by the county is an important element of any determination regarding whether personal property has acquired taxable situs). The issue in virtually all interstate and foreign commerce cases involving a property tax centers around whether the goods have sufficient nexus to the taxing state.

Here, Gunvor and Devon's oil in STG and POT, respectively, has sufficient nexus with both Texas and San Patricio County. In fact, according to Gunvor and Devon, they do not know where the oil comes from the ground. Most, if not all, of it was acquired in Texas. Gunvor 1 C.R. at 868-869.[15] And there is no evidence that any of the oil came from outside of Texas. The oil could not have any more of a nexus to Texas. *See, Commonwealth Edison Co. v. State of Montana*, 453 U.S. 927, 101 S.Ct. 2946, 2953 (1981). More directly, the court in *Diamond Shamrock Ref. & Mktg. Co. v. Nueces Cnty. Appraisal Dist.*, 876 S.W.2d 298, 303 (Tex. 1994) specifically held that the constant presence of the substantial quantity of oil in the tank farm, which is as surely present in this case as it was before this Court in *Diamond Shamrock*, met the nexus requirement.

Further, there is no firm evidence before this Court that any of Gunvor or Devon's oil reached foreign destinations. Thus, Gunvor and Devon have contradicted their own summary judgment evidence that all its oil is exported,

[15] Devon 1. C.R. at 391-291; Devon 1 C.R. at 720-721.

resulting in insufficient factual development to support its Motion for Summary Judgment. Gunvor 1 C.R. at 881.[16]

B. The oil is not merely passing through Texas since it came from the ground in Texas and it has a substantial nexus to Texas.

While the tax appraisal at issue in this case does not offend any of the principles underlying the Import-Export Clause, the *Michelin* court suggested that the Import–Export Clause would invalidate application of a nondiscriminatory property tax to goods still in import or export transit. *Michelin*, 423 U.S., at 290, 296 (compliance with the Import–Export Clause may be secured "by prohibiting the assessment of even nondiscriminatory property taxes on [import or export] goods which are merely in transit through the State when the tax is assessed"). The question then becomes whether Gunvor and Devon's oil is "merely in transit through" Texas. Gunvor and Devon's oil, or at least a great portion of it, almost certainly came from the ground in Texas.

"Merely in transit through" implies a temporary presence. According to the Tax Code under Section 11.01, the State has jurisdiction to tax personal property if it is located in Texas "for longer than a temporary period" and not otherwise exempt. TEX. TAX CODE § 11.01(a), (c)(1). The Code further states that property is exempt from taxation, if it is exempt from taxation under Federal law. *Id*. § 11.12.

[16] Devon 1. C.R. at 680, 710-711.

In the Texas Supreme Court case cited by Gunvor and Devon, *Virginia Indonesia Co. v. Harris County Appraisal Dist.*, 910 S.W.2d 905 (Tex. 1995), the goods in question were "purchased from vendors throughout the country for the exclusive use of the Indonesian joint venture." *Virginia Indonesia*, 910 S.W.2d at 913. As such, those goods may well have been "merely flowing through" Texas. While the Court in *Virginia Indonesia* did not specify exactly what the goods in question were, they were for all appearances individual items. The oil in question herein is a fungible product comingled with the constantly present quantity of oil as discussed below.

Furthermore, as the West Virginia Supreme Court noted in *U.S. Steel Mining Co. v. Helton, W. Virgina State Tax Commissioner*, 631 S.E.2d 559, 567 n. 12 (W. Va. 2005), "coal being mined and processed by the appellants has been 'at rest' in West Virginia for many millions of years. The coal being mined and processed by the appellants is hardly 'merely passing through' West Virginia – unless we are dealing with a geologic and not human time frame." The West Virginia Supreme Court's comments were part of its distinguishing *Virginia Indonesia Co. v. Harris County Appraisal Dist.* Similar observations can be made about Gunvor and Devon's oil. To claim that the oil is "merely passing through" Texas defies all reason. Similarly, The Kansas Supreme Court found that storing natural gas stored in pipelines awaiting sale resale would be subject to an Ad valorum tax. *In re*

Appeals of Various Applicants from a Decision of Div. of Prop. Valuation of State for Tax Year 2009 Pursuant to K.S.A. 74-2438, 298 Kan. 439, 453, 313 P.3d 789, 799 (2013).

C. The oil is not merely passing through Texas since it is constantly present in substantial quantities

Further, this Court has found in *Diamond Shamrock*, that oil being imported from foreign sources into Texas and constantly present in coastal tank farms in substantial quantities is taxable in Texas. *Diamond Shamrock Ref. & Mktg. Co. v. Nueces Cnty. Appraisal Dist.*, 876 S.W.2d 298, 302 (Tex. 1994). In *Diamond Shamrock*, the oil in question was being imported rather than exported. However, this Court made the same observation noted above, that it would not consider the oil in tank farms merely as individual barrels simply flowing through the farm, but rather as the constant presence of a massive quantity of oil that, given its permanency, was taxable in Texas. The Court was making an observation of a physical reality that is equally present in the facts before this Court. Although Gunvor and Devon's oil may be exported, not that there is solid evidence before the Court that it is, it is still part of a permanently present quantity of oil just the same as the oil in *Diamond Shamrock.*

Here, Gunvor and Devon's oil does not meet the temporary presence requirements as case law dictates, and as a result it is not federally exempt from taxation. Gunvor and Devon's oil, as established above, was piped into enormous

tank farms in San Patricio County where it, with much other oil, was constantly present over a period of years in huge quantities. This can hardly be described as "merely in transit through" Texas. Thus, Gunvor and Devon's oil is distinguishable from the *Virginia Indonesia* case, and is more alike to the latter cases.

Regardless of whether the oil was ultimately loaded onto ships for foreign export, the oil is still taxable in San Patricio County because a vast quantity of oil is constantly present in the tank farms in San Patricio County. Note that Gunvor and Devon's oil is not stopped at STG and POT, respectively, as merely a facility of transport. Rather, stopping at the STG and POT Terminals is a pragmatic necessity for loading onto ships. At these locations, oil can also be traded among parties. The storage of the oil at STG and POT is for the convenience of the shipper, namely Gunvor and Devon. As such, even if the constant presence of the oil were not otherwise sufficient to support taxation, the stoppage for the shipper is sufficient to break transit. *ETC Marketing, Ltd. v. Harris County Appraisal Dist.*, 528 S.W.3d 70, 82-83 (Tex. 2017).

As stated above, while some oil comes into the tank farms and some oil leaves, and if in fact individual barrels of oil stay only a short time, there is nonetheless a taxable quantity of oil present. In *Exxon Corp. v. San Patricio Cnty. Appraisal Dist.*, the Court held that when determining the tax situs of oil, it is inappropriate to treat each individual barrel as separate. *Exxon Corp. v. San Patricio Cnty. Appraisal*

Dist., 822 S.W.2d 269, 272 (Tex. App.—Corpus Christi–Edinburg 1991, writ denied). In any case, the volumes of oil constantly present in the tank farms dwarf the "vast" volumes in issue in *Exxon v. San Patricio*, which were measured in the hundreds of thousand, not the millions. In *Exxon*, Exxon maintained over 400,000 barrels of oil in San Patricio County in 1987 and 1988, stored in 17 tanks, and the oil was continuously present in the county for extended periods. *Id*. The court emphasized that the consistent volume of oil in the county should be considered as a whole, rather than breaking it down into individual barrels as unlike oil in transit, which might pass through a county briefly, the oil stored in the tanks was continuously located in the county, establishing taxable situs in San Patricio County. *Id*. Although *San Patricio County Appraisal District* was a situs case, it does not dimmish the fact that both courts concluded that the oil should be viewed as a whole rather than individual barrels. A good does not acquire taxable situs if it is merely passing through a taxing unit. *ETC Marketing, Ltd. v. Harris County Appraisal Dist*., 528 S.W.3d 70, 78 (Tex. 2017); TEX. TAX CODE § 11.01(c). Thus, the decision is as applicable to this case as could be. If a good, in this case a large quantity of oil, acquires taxable situs in a taxing unit because of the constant presence of a substantial quantity of that good, then neither is that good merely passing through the State or County. Since it is not merely passing through, it is taxable pursuant to the above-cited *Michelin Tire v. Wages* case.

The decision in *Exxon Corp. v. San Patricio County Appraisal District* was cited with approval by this Court in *Diamond Shamrock Ref. & Mktg. Co. v. Nueces County Appraisal Dist.*, 876 S.W.2d 298, 303 (Tex. 1994). Therein, this Court in addressing an import case quoted the language out of *San Patricio County Appraisal* directly, among other language, that:

> We do not agree that when determining whether a large quantity of oil is to be taxed we should consider the situs of each individual barrel separately . . . We do not view this mass of oil as a continual flow of singular barrels which independently do not remain in the County long enough to establish tax situs there. Rather, because Exxon held a quantity of over 400,000 barrels of oil in San Patricio County in seventeen tanks at all times, a massive quantity was located in the County throughout 1987 and 1988 for more than a temporary period.
>
> *Citing San Patricio* at 822 S.W.2d 277-78.

Here, the matter is factually congruent since individual units of Gunvor and Devon's oil may come and go, and there always exists a significant volume in San Patricio County, thus establishing a taxable nexus. This Court should look to its prior decision on a matter so similar and find that the oil is taxable, and therefore Gunvor and Devon were not entitled to summary judgment as a matter of law. A good that is only present a temporary period of time is likely not taxable for want of nexus in Texas. TEX. TAX. CODE 11.01. *See, Patterson-UTI Drilling Co., LP v. Webb County Appraisal Dist.*, 182 S.W.3d 14 (Tex. App.—San Antonio, 2005, no pet.). But, in the referenced *Exxon* case, the Court found that the comings and goings of individual barrels were found not determinative. Rather, the fact that there was a

constant presence of a large quantity of oil was sufficient to find situs. As referenced above, *Diamond Shamrock* is an import case as opposed to an export case. But, that is of little or no consequence. The Import-Export Clause of the Constitution, U.S. CONST. art. 1, § 9, cl. 5, is the same clause. The provisions are subject to the same analysis. *Dep't of Revenue of State of Wash. v. Ass'n of Washington Stevedoring Cos.*, 435 U.S. 734, 751, 98 S. Ct. 1388 (1978). If oil being imported is taxable in Texas because of the constant presence of a substantial quantity of that oil, then oil constantly present in substantial quantities, though it may later be exported, is similarly subject to the non-discriminatory ad valorem tax at issue.

The only way that Gunvor's and Devon's position makes any sense is that one disregard the constant presence of the substantial quantity of oil and regard the oil as separate barrels which individually do not stay long enough to be taxable in San Patricio County or the State of Texas. That paradigm, however, has been specifically rejected by Thirteen Court of Appeals and by this Court, as cited above:

> We do not agree that when determining whether a large quantity of oil is to be taxed we should consider the situs of each individual barrel separately . . . We do not view this mass of oil as a continual flow of singular barrels which independently do not remain in the County long enough to establish tax situs there.
>
> *Diamond Shamrock Ref. & Mktg. Co. v. Nueces County Appraisal Dist.*, 876 S.W.2d 298, 303 (Tex. 1994).

It is important to note that San Patricio CAD does not appraise, and hence San Patricio CAD does not appraise for taxation, every drop of oil that is in the tanks

during the respective taxable year. San Patricio CAD only appraises the volume present in the tanks on January 1 of the taxing year. TEX. TAX CODE § 23.01. This amount is a mere fraction of the total oil that passes through the tanks and is a proxy for the oil constantly present in the tanks. Pursuant to TEX. TAX CODE § 21.02(a)(1), which requires tangible personal property to be "located in the taxing unit on January 1 for more than a temporary period," Gunvor and Devon's oil located in the tanks on this date assumes a taxable situs and therefore they are obligated under Texas statute to pay ad-valorum tax levied by San Patricio County.

Lastly, exemptions from taxation are disfavored since they are the antithesis of equality and uniformity in taxation. *Bullock v. National Bancshares Corp*., 584 S.W.2d 268, 271-272 (Tex. 1979). They must, therefore, be established by unequivocable evidence. Ambiguities will be construed against exemption. In this case it is certainly not clearly established that Gunvor and Devon's oil did not exist in the constant presence of massive quantities that support taxation over exemption.

D. Stream of Export

Gunvor and Devon may argue that the oil was inextricably committed to the stream of export when it entered the pipeline in west Texas, thus invoking the of the Import-Export Clause of the United States Constitution, art. I, § 10, cl. 2. But, the facts do not support the contention. As noted above, Gunvor and Devon retained control of the oil when it was in the tank farm. The oil was not sold to any buyer,

foreign or domestic, until it passed the flange of the ship. See record cites above. I.e., though Gunvor and Devon may have claimed that their oil was committed to international destinations when put in the pipelines, their own testimony and documents cited above contradict any such conclusory statement. Furthermore, Devon and Gunvor remained at liberty to transfer oil to other parties, other tank farms, and to domestic locations until such time as the oil was sold to other parties at the ship. Gunvor I C.R. 801[17] Also as referenced above, Gunvor and Devon obviously do not bring a quantity of oil to either STG or POT, respectively, to export immediately that same quantity of oil. Gunvor and Devon accumulate oil in STG or POT, trade the oil with other shippers in the respective terminals, go into deficits, and make whatever disposition the parties choose.

The situation Devon and Gunvor occupy leaves their oil more readily subject to local taxation than were the goods subjected to the personal property ad valorem tax approved by the Supreme Court in *Kosydar v. National Cash Register Co.*, 417 U.S.62, 94 S.Ct. 2108 (1974). In that case National Cash Register, NCR, had manufactured products specifically designed for export. They were in a warehouse in Ohio pending export at the time. Export was "virtually certain." But the cash registers had not actually been sold nor actually moved into export. *Kosydar* at 65, 2110. In this case, as noted above, the oil had not been sold nor had it been

[17] Devon I C.R. 681-682

transferred into the ships that presumably took it abroad. Nothing about this oil, at least in the record, suited it uniquely for use beyond the United States.

Furthermore, parties such as Gunvor and Devon are required to keep minimum balances in the tanks they use, 40,000 barrels per tank for Gunvor at STG, and 46,000 barrels per tank for Devon at POT. Gunvor I C.R. 799[18]. Those amounts certainly never move into commerce.

E. Cases cited by Respondent are distinguishable

The *Virginia Indonesia* case relied upon by Gunvor and Devon was decided shortly after *Diamond Shamrock*, and specifically did not over-rule *Diamond Shamrock*, but rather cited it. *Virginia Indonesia*, 910 S.W.2d at 910, 914. As referenced above, *Virginia Indonesia* did not involve a fungible good, but rather a quantity of widgets of some sort. There is no mention in the case of there being the constant presence of a substantial quantity of a fungible good. Further, as noted above, the goods in question were not gathered at Galveston exclusively from within Texas but from the country as a whole. As such, those goods may well have been merely passing through Texas, quite unlike the oil at issue here.

Similarly, *Vinmar, Inc. v. Harris County Appraisal Dist.*, 947 S.W.2d 554 (Tex. 1997), the goods in issue, though sometimes present in Harris County for some time, were not a fungible good constantly present in substantial quantities. Also

[18] Devon I C.R. 683

similar to *Virginia Indonesia*, the goods were acquired "from vendors in the United States." Again, this Court did not impugn *Diamond Shamrock* in its decision.

Gunvor and Devon further rely on *Richfield Oil Corp. v. State Bd. of Equalization*, 329 U.S. 69, 67 S.Ct. 156 (1945). First, however, the efficacy of *Richfield* has been at least truncated. *See*, *Itel Containers International Corp. v. Huddleston*, 507 U.S. 60, 113 S.Ct. 1095 (1993). While the case has not been specifically over-ruled, it well predates *Michelin Tire*. To the extent it is in conflict with *Michelin* Tire, the latter should control. Regardless, in *Richfield*, the U.S. Supreme Court analyzed the application of an excise tax which California imposed on oil purchased by the New Zealand navy from Richfield, which brought the oil to a transport supplied by the New Zealand navy at a port on the coast of California. There is no mention in the case of a constant presence of a substantial quantity of oil at the docks in California. The California excise tax was a direct duty on a good being exported. That is the tax arose by the act transferring the oil from the shore to the ship and to the international purchaser. The tax before this Court, on the other hand, arises because the oil is in the onshore tanks on January 1, before the oil was sold to a party which may have exported it. TEX. TAX CODE § 11.01. The Court therein noted the argument that "the history of the Import-Export Clause shows that it was designed to prevent discriminatory taxes and not to preclude the levy of general taxes applicable alike to all goods." *Richfield*, 329 U.S. at 76. That

argument has since been adopted by the Supreme Court in *Michelin Tire Corp. v. Wages*, 423 U.S. 276, 283, 66 S.Ct. 535, 539 (1976). An ad valorem tax is the epitome of a non-discriminatory tax applicable to all goods. TEX. TAX CODE §§ 11.01, 23.01.

Gunvor and Devon further relied on *Carson Petroleum v. Vial*, 279 U.S. 95 (1929). But, it too is a pre-*Michelin Tire* case. And, as with *Richfield*, while it has not been specifically over-ruled, should not be construed contrary to *Michelin Tire*. Furthermore, there was no mention of there being a constant presence of a substantial quantity of oil present. Furthermore, the oil came from out of state. Thus, that oil may well have been merely passing through the export state.

The case of *Midland Cent. Appraisal Dist. v. BP America Production Co.*, 282 S.W.3d 215 (Tex. App. – Eastland 2009, pet. denied) is not on point since it only involves interstate commerce, not the Import-Export Clause. But, conceptually, the case is in irreconcilable conflict with this Court's decision in *Diamond Shamrock* and this Court's approval of the decision in *Exxon v. San Patricio.*

Gunvor and Devon may cite to *United States v. International Business Machines Corporation*, 517 U.S. 843, 116 S.Ct. 1793 (1996), *IBM*. The case is facially inapplicable since it concerns federal taxes on exports, something explicitly prohibited by United States Const. Art. I, § 9, cl. 5. The ban on federal taxing exports is far more restrictive than the Import-Export Clause at issue here. *IBM* at 857-8,

1801-1802. The federal restriction on taxing exports specifically forbids taxes. The Import-Export clause mentions "imposts and duties." What Gunvor and Devon have at least previously cited the case for is the statement that the "Court has never upheld a state tax assessed directly on good in import or export transit." *IBM* at 862, 1804. But, as detailed above, the facts in this case do not support Gunvor's and Devon's claim that the oil in question is "in import or export transit." The oil in question was, as explained above, a portion of a constant presence of oil, and did not sell or commence its international journey until sold at the flange of the ship. Up to that point, Gunvor and Devon retained control to otherwise dispose of the oil.

CONCLUSION AND PRAYER

Gunvor and Devon's oil at issue is patently subject to property taxation. The oil is not merely passing through Texas as it came from the ground here and established significant economic ties to Texas that support a nexus here. Furthermore, the constant presence of the substantial quantities of oil negates the possibility that the oil is merely passing through either Texas generally or San Patricio County specifically. Therefore, the summary judgments granted for Gunvor and Devon by the trial court and affirmed by the Thirteenth Court of Appeals should be reversed and rendered in favor of San Patricio CAD.

Respectfully submitted,

LOW SWINNEY EVANS & JAMES, PLLC
120 S. Lakeline, Bldg. 4, Ste. 200
Cedar Park, Texas 78613
(512) 379-5800
(512) 476-6685 (fax)

By: /s/ *Kirk Swinney*
Kirk Swinney
State Bar No. 19588400
kswinney@lsejlaw.com
Mayank Raj
State Bar No. 24144596
mraj@lsejlaw.com

ATTORNEYS FOR PETITIONER
SAN PATRICIO COUNTY APPRAISAL DISTRICT

CERTIFICATE OF COMPLIANCE

Pursuant to Texas Rule of Appellate Procedure 9.4(i)(2), I certify that this Brief contains 7032 words, excluding the words not included in the word count pursuant to Texas Rule of Appellate Procedure 9.4(i)(1). This is a computer-generated document created in Microsoft Word, using 14-point typeface for all text. In making this certificate of compliance, I am relying on the word count provided by the software used to prepare the document.

/s/ *Kirk Swinney*
Kirk Swinney

CERTIFICATE OF SERVICE

I certify that a true and correct copy of the foregoing has been served electronically on the following parties on June 19, 2026.

Ikard Young LLP
William Ikard
bill@ikardyoung.com

Troutman Pepper Locke LLP
Daniel Durell
daniel.durell@troutman.com
Cole Hutchison
cole.hutchison@troutman.com

/s/ *Kirk Swinney*
Kirk Swinney

APPENDICES

A: Tank farm balances

B: Court of Appeals opinions and judgments

C: Trial Court judgment

D: U.S. CONST., ART. I, § 10, cl. 2

2021	January	February	March	April	May	June	July	August	September	October	November	December		
total receipts		175,073	359,118	0	149,301	0	47,616	71,556	0	0	0	0	802,664	
total deliveries		0	0	0	149,301	0	0	0	0	70,568	0	299,839	519,708	
Tank 1 rec		175,073	359,118	0	0	0	0	0	0	0	0	0		
Tank 1 del		0	0	0	149,301	0	0	0	0	0	0	299,839		
Tank 2 rec							47,616	71,556	0	0	0	0		
Tank 2 del							0	0	0	70,568	0	0		
tank 1 end balance		175,073	534,191	535,885	386,668	386,628	338,863	338,786	338,689	337,702	340,953	41,078	3,754,516	469314.4
tank 2 end balance							47,616	119,198	119,622	48,989	49,210	49,166	433801.21	54225.15
total end balance		175,073	534,191	535,885	386,668	386,628	386,479	457,984	458,311	386,691	390,163	90,244		

2022	January	February	March	April	May	June	July	August	September	October	November	December		
total receipts	464,777	419,489	465,930	149,958	155,419	257,849	1,104,843	1,019,151	1,193,598	1,346,099	972,891	860,421	8,410,425	
total deliveries	464,363	279,090	447,838	286,157	179,960	74,501	1,147,372	715,466	1,637,916	917,746	685,113	1,390,369	8,225,891	
Tank 1 rec	0	0	0	0	0	0	619,967	465,325	599,403	774,784	419,395	320,718		
Tank 1 del	0	0	0	0	0	0	479,846	604,223	601,466	348,760	560,782	592,624		
Tank 2 rec	464,777	419,489	465,930	149,958	155,419	257,849	484,876	553,826	594,195	571,315	553,496	539,703		
Tank 2 del	464,363	279,090	447,838	286,157	179,960	74,501	667,526	111,243	1,036,450	568,986	124,331	797,745		
tank 1 end balance	39,363	39,526	39,709	39,627	39,673	39,650	179,642	40,172	37,753	464,003	122,114	39,128	1,120,360	101850.9
tank 2 end balance	49,522	189,273	207,112	71,045	48,483	231,885	50,886	493,294	51,149	51,782	478,004	220,042	2,142,477	194770.6
total end balance	88,885	228,799	246,821	110,672	88,156	271,535	230,528	533,466	88,902	515,785	600,118	259,170		

NUMBER 13-25-00027-CV

COURT OF APPEALS

THIRTEENTH DISTRICT OF TEXAS

CORPUS CHRISTI – EDINBURG

SAN PATRICIO COUNTY APPRAISAL DISTRICT, **Appellant,**

v.

DEVON GAS SERVICES, L.P., AS AGENT FOR GLENCORE LTD., **Appellee.**

ON APPEAL FROM THE 36TH DISTRICT COURT OF SAN PATRICIO COUNTY, TEXAS

OPINION

Before Chief Justice Tijerina and Justices Cron and Fonseca
Opinion by Justice Fonseca

The Import-Export Clause of the United States Constitution provides: "No State shall, without the Consent of the Congress, lay any Imposts or Duties on Imports or Exports, except what may be absolutely necessary for executing its inspection Laws . . . ." U.S. CONST. art. I, § 10, cl. 2. In these two appeals, the trial courts held that inventories

Copy from re:SearchTX

of crude oil held in coastal tank farms in San Patricio County are exempt from State property tax under this clause. By two issues in each case, appellant San Patricio County Appraisal District (the District) argues the trial court erred by "fail[ing] to enforce the rules of discovery" and by granting summary judgment in favor of the taxpayers, appellees Gunvor USA LLC (Gunvor)[1] and Devon Gas Services, L.P., as agent for Glencore Ltd. (Devon).[2] In the case concerning Devon, the District also raises a third issue complaining that the trial court failed to rule on its objections to evidence. We affirm.

I. BACKGROUND

Crude oil is delivered via pipeline from wells around the region to the Pin Oak Taft/Midway Junction (Taft Junction), located near Taft in San Patricio County, and it is stored in tanks there until it can be transferred to an export terminal in Corpus Christi, where it is loaded onto tanker ships. For tax year 2023, the District appraised Devon's taxable property to include 219,546 barrels of crude oil stored at Taft Junction and valued at over $17 million. *See* TEX. TAX CODE § 21.02(a)(1) (providing generally that "tangible personal property is taxable by a taxing unit if . . . it is located in the unit on January 1 for more than a temporary period"). It appraised Gunvor's taxable property to include 428,576 barrels stored at a similar tank farm at South Texas Gateway Terminal in Ingleside, valued at over $38 million.

Both appellees protested with the local appraisal review board, arguing the oil is exempt from ad valorem taxation under the Import-Export Clause and the Texas Tax Code. *See* U.S. CONST. art. I, § 10, cl. 2; TEX. TAX CODE §§ 11.12 ("Property exempt from

[1] Appellate court cause number 13-24-00590-CV.

[2] Appellate court cause number 13-25-00027-CV.

Copy from re:SearchTX

ad valorem taxation by federal law is exempt from taxation."), 41.41(a) (stating a property owner is entitled to protest an appraisal district's decision to the appraisal review board). The appraisal review board denied appellees' protests, and appellees timely filed the underlying suits for judicial review. *See* TEX. TAX CODE § 42.21(h). In August of 2024, each appellee filed a motion for summary judgment making the same arguments and attaching evidence. Devon's evidence included an affidavit by Greg Horne, its Vice President of Marketing and Midstream, stating in relevant part:

> 5. Glencore Ltd. (Glencore) is an international crude oil trader. Glencore entered into a Master Purchase and Sale Marketing Agreement with Devon to market, sell, and export crude oil that Devon produces from the Permian Basin to customers in international markets.
>
> 6. Devon has been appointed as the agent of record on behalf of Glencore . . . .
>
> 7. During calendar years 2022 through 2023, an affiliate of Devon produced West Texas Intermediate crude oil from the Permian Basin in Texas and New Mexico. All the barrels of crude oil relevant to this lawsuit . . . were produced by Devon's affiliate and transported to the Corpus Christi Ship Channel by Devon exclusively for the purpose of fulfilling orders Glencore received from buyers seeking cargos of unrefined West Texas Intermediate crude oil to be delivered to foreign destinations (the WTI).
>
> 8. Devon utilized third-party operated common carrier pipelines to transport the WTI to the Corpus Christi Ship Channel. All the WTI was sold to be delivered to foreign destinations. From 2022 to 2023 when the WTI arrived in San Patricio County, it was first delivered into the Pin Oak Taft/Midway Junction (Taft Junction) located in San Patricio County and then transported on to the Pin Oak Corpus Christi Terminal (Corpus Christi Export Terminal) located in Nueces County along the Corpus Christi Ship Channel for loading on vessels for exportation.
>
> 9. Title to the WTI passes from Devon to Glencore when it enters Taft Junction.[3] Thereafter[,] in order to continue the uninterrupted

[3] Despite this provision, Devon has never disputed that it owned the subject oil at all times relevant to this case.

Copy from re:SearchTX

> transport of the WTI[,] Glencore utilized (i) above-ground tanks at Taft Junction and the Corpus Christi Export Terminal (the Export Tanks) and (ii) the pipelines connecting these Export Tanks to the loading arms located on the vessel docks to load the WTI on various classes of non-Jones Act vessels.
>
> 10. The Corpus Christi Export Terminal will not bring a vessel to berth unless the exporting customer (like Glencore) has sufficient volume of product to completely load the vessel without having to await arrival of the final barrels of WTI. It is the Corpus Christi Export Terminal—not the exporting customer—that calls in the vessel to berth. Glencore could not export the WTI through the Corpus Christi Export Terminal without utilizing the Export Tanks.
>
> 11. The quantity of WTI in the Export Tanks at any given time was always waiting on Glencore's next laycan window[4] upon which Glencore's chartered vessel was called to berth by the Corpus Christi Export Terminal after there was sufficient accumulation to load the relevant vessel.
>
> 12. During calendar years 2022 through 2023, Glencore always exported the WTI in the Export Tanks to international markets and never diverted any of the WTI for domestic use.

Devon's affidavit was accompanied by bills of lading and cargo manifests indicating that three "non-Jones Act vessel[s]" containing over two million barrels of crude oil in total departed the Corpus Christi Export Terminal in January of 2023, bound for Canada, Denmark, and China, respectively. Gunvor filed a substantially similar affidavit.[5]

---

[4] "In LNG or crude oil shipping, the laycan is the date range during which a vessel must arrive at the loading port to load its cargo. If the vessel misses the laycan window, it can be refused loading." GUNVOR GROUP, https://gunvorgroup.com/glossary/cargo-laycan/ (last visited Jan. 7, 2026).

[5] Specifically, Brian Bormaster, Gunvor's "Business Developer – Crude," averred in relevant part:

> 6. Gunvor utilized third-party operated common carrier pipelines to transport the WTI to San Patricio County, Texas. The vast majority of WTI was sold to be delivered to foreign destinations before entering the pipelines in the Permian Basin. All the WTI was sold to be delivered to foreign destinations. From 2021 through 2023 when the WTI arrived in San Patricio County, it was delivered into the South Texas Gateway (STG) crude oil export terminal located along the Corpus Christi Ship Channel (the Export Terminal).
>
> 7. At the Export Terminal, Gunvor utilized (i) above ground storage tanks (the Export Tanks) for staging the WTI and (ii) the pipelines connecting these Export Tanks to the loading arms located on the vessel docks to load the WTI on various classes

Copy from re:SearchTX

In each case, the District filed a response and objected to some of appellees' evidence.[6] The District argued in part that the oil was taxable, despite the fact that it was bound for export, because there were "incredibly large volumes of oil constantly present" at both tank farms. As evidence, it attached monthly reports indicating that the Taft Junction tanks used by Devon contained an average of 154,000 barrels of crude oil in the year preceding the appraisal date, and that they never contained less than 92,000 barrels during that time period. As to Gunvor, the District attached monthly reports indicating that its South Texas Gateway tanks contained an average of over 2.8 million barrels in the year preceding the appraisal date and never contained less than 1.9 million barrels during that time period. These amounts included "tank heels," or the minimum volumes which must be retained in each tank at all times in order for them to remain operational. The

---

of non-Jones Act vessels.

8. The Export Terminal will not bring a vessel to berth unless the exporting customer (like Gunvor) has sufficient volume of product either fully landed in the Export Tanks or sufficiently landed in the Export Tanks with the remainder in transit to land in the Export Tanks to completely load the vessel without having to await arrival of the final barrels of WTI. It is the Export Terminals—not the exporting customer—that calls in the vessel to berth. Gunvor could not export the WTI through the Export Terminal without utilizing the Export Tanks to aggregate and stage the WTI for its next laycan window.

9. The quantity of WTI in the Export Tanks at any given time was always waiting on Gunvor's next laycan window upon which Gunvor's chartered vessel was called to berth by the Export Terminal after there was sufficient accumulation to load the relevant vessel.

10. During calendar years 2021 through 2023, Gunvor always had unfulfilled orders for future cargos of WTI in quantities that exceeded the quantities of WTI staged in the Export Tanks. Gunvor exported all the WTI in the Export Tanks to international markets and never diverted any of the WTI for domestic use.

11. During calendar years 2021 through 2023, Gunvor did not refine the WTI in any way or at any point during its transit from the point of purchase through the Export Terminals and onto the non-Jones Act vessels.

Both Horne and Bormaster noted that, unlike San Patricio County, Nueces County determined the oil to be exempt from taxation.

[6] The records contain no explicit rulings on the District's objections to evidence.

Copy from re:SearchTX

District attached deposition testimony by Pin Oak's vice president stating that "around 46,000" barrels need to remain at the bottom of the Taft Junction tanks, and that the customer is responsible for maintaining those amounts. South Texas Gateway's director of crude oil exports testified in deposition that the minimum volume was "[a]pproximately 30 to 35,000 barrels per tank" at that facility; that customers are required to contribute to the minimum; and that the precise amount of that contribution "varies greatly by customer and how their contracts are structured."

Appellees filed replies to the District's responses. In September and October of 2024, the trial courts granted appellees' summary judgment motions and declared that the subject oil is exempt from taxation. In November of 2024, the trial court denied motions for new trial filed by the District in both cases. These appeals followed.

II. PRELIMINARY ISSUES

A. Motions to Compel Discovery

By its first issue in both appeals, the District argues that the trial courts erred by "fail[ing] to enforce the rules of discovery." The record reflects that the District filed motions to compel discovery in both cases, arguing that appellees failed to answer interrogatories and requests for production, and seeking orders compelling responses. The motion concerning Gunvor was granted in part, though the District argues Gunvor did not comply with the ruling. The motion concerning Devon was not ruled upon.

In response, Gunvor contends that the District inadequately briefed the issue because it did not supply "record citations identifying the alleged error committed by the trial court"; did not "demonstrate how it properly preserved the issue for appeal"; did not identify the applicable standard of review; and did not "provide argument and authorities

Copy from re:SearchTX

relevant to the standard of review." We agree. In its brief, the District points to the trial court's order partially granting and partially denying its motion to compel as to Gunvor, but it is not clear whether it is complaining of the trial court's partial denial of the motion or of Gunvor's failure to comply with the order to the extent the motion was granted. Either way, the District does not refer to any authority concerning an applicable standard of review or demonstrating that error occurred.[7] *See* TEX. R. APP. P. 38.1(i).

Moreover, the only discussion in the District's brief regarding how it was harmed by any discovery ruling is as follows:

> [A]dequate discovery would confirm that Gunvor's oil was constantly present in massive quantities in the tank farms in San Patricio County during relevant times. . . . Discovery would very likely show that Gunvor contributed to oil in tank bottoms that must be present at all times for the tanks to function properly. Furthermore, adequate discovery would very likely show that Gunvor's oil came from Texas and was thus not merely flowing [through] the state.

But the facts which the District identifies as potentially established by more complete discovery are not in significant dispute. The uncontroverted reports attached to the District's summary judgment response established that the tanks at issue contained at least 1.9 million barrels for every month in the year prior to the appraisal date. South Texas Gateway's representative testified that the facility has a "commingled storage system" but serves fewer than twenty shippers. And Gunvor has never disputed that it owns the quantity of oil attributed to it by the District; the only question is whether the oil

[7] The only legal authority cited by the District in its discussion of this issue is as follows:

> "The summary judgment rule clearly contemplates that the trial court will allow parties a reasonable opportunity to conduct discovery before rendering summary judgment." *Coleman v. Winn-Coleman, Inc.*, 110 S.W.3d 104, 111 (Tex. App.—Houston [1st Dist.] 2003, no pet.). "Discovery is designed to 'allow the litigants the fullest knowledge of the facts and issues prior to trial.'" *Chapa v. Garcia*, 848 S.W.2d 667, 668 (Tex. 1992) (citing *Axelson, Inc. v. McIlhany*, 798 S.W.2d 550, 553 (Tex. 1990) (orig. proceeding)).

Copy from re:SearchTX

is exempt from taxation as an export. Thus, even if the trial court erred in its discovery rulings, the District has not established that any error was reversible. *See* TEX. R. APP. P. 44.1(a) (providing that a judgment in a civil case may not be "reversed on the ground that the trial court made an error of law" unless we conclude the error complained of: "(1) probably caused the rendition of an improper judgment; or (2) probably prevented the appellant from properly presenting the case to the court of appeals.").

Devon, on the other hand, argues that the issue was not preserved because the District did not object to the trial court's failure to rule on its motion to compel. We agree. To preserve a complaint for appellate review, the record must show that it was first "made to the trial court by a timely request, objection, or motion" and that "the trial court: (A) ruled on the request, objection, or motion, either expressly or implicitly; or (B) refused to rule on the request, objection, or motion, and the complaining party objected to the refusal." TEX. R. APP. P. 33.1(a). Here, in the Devon case, the District neither obtained an adverse ruling on its motion to compel nor objected to the trial court's failure to rule at any point. Accordingly, the issue has not been preserved for our review. *See id.*; *Harris Cent. Appraisal Dist. v. Hous. Pipe Line Co.*, 706 S.W.3d 568, 577 (Tex. App.—Houston [1st Dist.] 2024, no pet.) (holding that appellant "cannot raise evidentiary objections on appeal that it was required to preserve in the trial court" because it "did not object to the trial court's failure to rule"); *Alejandro v. Bell*, 84 S.W.3d 383, 388 (Tex. App.—Corpus Christi–Edinburg 2002, no pet.) (holding issue was preserved where appellant "complained in his motion for new trial of the trial court's refusal to rule").

The District's first issues are overruled.

Copy from re:SearchTX

B. Failure to Rule on Evidentiary Objections

By its third issue in the appeal concerning Devon, the District argues the trial court erred by failing to rule on its objections to Devon's summary judgment evidence. The record reflects that the District made twelve specific objections in writing on October 1, 2024. Several weeks after the trial court ruled on the summary judgment motions, the District filed a written pleading on January 17, 2025, asserting that the trial court "has failed to set the [o]bjections for a hearing or rule on them."

Devon argues that the issue has been waived as not preserved and inadequately briefed. We agree on both points. As noted above, a party must object to a trial court's failure to rule in order to preserve an issue for appeal. *See* TEX. R. APP. P. 33.1(a)(2)(B); *Harris Cent. Appraisal Dist.*, 706 S.W.3d at 577; *Alejandro*, 84 S.W.3d at 388. Here, the District objected to the trial court's failure to rule on the evidentiary issues, but it only did so fifty-six days after the trial court denied the District's motion for new trial, by which time the court's plenary power over the case had already expired.[8] *See* TEX. R. CIV. P. 329b(e) (providing that a court's "plenary power to grant a new trial or to vacate, modify, correct, or reform a judgment" expires thirty days after a timely-filed motion for new trial is denied). We agree with Devon that the objection was untimely for that reason. *See Burbage v. Burbage*, 447 S.W.3d 249, 257 (Tex. 2014) (noting that, to effectively preserve error, an objection "must apprise the trial court of the error alleged such that the court has the opportunity to correct the problem").

Further, the District has again failed to explain how it was harmed by the trial

[8] The District's motion for new trial did not complain about the trial court's evidentiary rulings or its failure to rule.

Copy from re:SearchTX

court's failure to rule. *See* TEX. R. APP. P. 44.1(a). After reiterating the substantive arguments it made in its evidentiary objections before the trial court,[9] the District merely states: "Without the evidence described above, all of which is objectionable, Devon cannot establish its entitlement to judgment." In the absence of any further description of how the trial court's failure to rule affected the case, we cannot conclude that any error is reversible. *See id.* R. 38.1(i). We overrule the District's third issue in appellate cause number 13-25-00027-CV.

III. SUMMARY JUDGMENT

By its second issue in both appeals, the District argues the trial court erred by granting summary judgment declaring the subject oil exempt from taxation.

A. Standard of Review and Applicable Law

The trial court's summary judgment ruling is reviewed de novo. *Scripps NP Operating, LLC v. Carter*, 573 S.W.3d 781, 790 (Tex. 2019). We view the evidence in the light most favorable to the non-movant, and we indulge every reasonable inference and resolve any doubts against the motion. *Buck v. Palmer*, 381 S.W.3d 525, 527 (Tex. 2012) (per curiam); *Smith v. O'Donnell*, 288 S.W.3d 417, 424 (Tex. 2009).

A movant for traditional summary judgment has the burden to establish that no genuine issue of a material fact exists and that it is entitled to judgment as a matter of law. TEX. R. CIV. P. 166a(c). If the non-movant produces more than a scintilla of evidence to raise a fact issue on the challenged elements, then summary judgment is improper. *Amedisys, Inc. v. Kingwood Home Health Care, LLC*, 437 S.W.3d 507, 511 (Tex. 2014);

[9] We note that, of the twelve specific evidentiary objections made by the District, two concern statements made in Devon's motion rather than evidence attached to the motion, and three complain that certain statements in Horne's affidavit were "contradict[ed] by other evidence," which is not germane to the statements' admissibility at the summary judgment stage of proceedings.

Copy from re:SearchTX

King Ranch, Inc. v. Chapman, 118 S.W.3d 742, 751 (Tex. 2003). "More than a scintilla of evidence exists when the evidence 'rises to a level that would enable reasonable and fair-minded people to differ in their conclusions.'" *King Ranch, Inc.*, 118 S.W.3d at 751 (quoting *Merrell Dow Pharms. Inc. v. Havner*, 953 S.W.2d 706, 711 (Tex. 1997)). Less than a scintilla of evidence exists when the evidence is "so weak as to do no more than create a mere surmise or suspicion" of a fact. *Ford Motor Co. v. Ridgway*, 135 S.W.3d 598, 601 (Tex. 2004).

B. Import-Export Clause

1. Historical Application

For much of the nation's history, the Import-Export Clause was interpreted broadly to forbid any type of state taxation on any property which is properly characterized as an "import" or "export." *See, e.g.*, *Low v. Austin*, 80 U.S. 29, 34 (1871) ("Whilst retaining their character as imports, a tax upon them, in any shape, is within the constitutional prohibition. The question is not as to the extent of the tax, or its equality with respect to taxes on other property, but as to the power of the State to levy any tax."). Whether a product was properly characterized as an "import" was, in turn, based on whether it remained in the importer's possession or control or remained in the same containers in which it was brought into the country (the "original package doctrine"). *See id.* ("[G]oods imported do not lose their character as imports, and become incorporated into the mass of property of the State, until they have passed from the control of the importer or been broken up by him from their original cases."); *Brown v. Maryland*, 25 U.S. 419, 441–42 (1827) ("[G]enerally, . . . when the importer has so acted upon the thing imported, that it has become incorporated and mixed up with the mass of property in the country, it has,

Copy from re:SearchTX

perhaps, lost its distinctive character as an import, and has become subject to the taxing power of the State; but while remaining the property of the importer, in his warehouse, in the original form or package in which it was imported, a tax upon it is too plainly a duty on imports to escape the prohibition in the constitution.").

On the other hand, a product was properly characterized as an "export" only upon "its physical entry into the stream of exportation." *Kosydar v. Nat'l Cash Reg. Co.*, 417 U.S. 62, 71 (1974) (citing *Coe v. Errol*, 116 U.S. 517, 527 (1886)).[10] Courts deemed this to occur only when goods "have been shipped, or entered with a common carrier for transportation to another State, or have been started upon such transportation in a continuous route or journey." *Id.* at 66–67 (quoting *Coe*, 116 U.S. at 527); *see Joy Oil Co. v. State Tax Comm'n of Mich.*, 337 U.S. 286, 288 (1949) (holding that gasoline held in storage was taxable because it "might have been diverted to domestic markets without disruption of any existing arrangement for its transshipment and without even breach of any contractual commitment to a foreign purchaser"). "The means of shipment are unimportant so long as the certainty of the foreign destination is plain." *Richfield Oil Corp. v. State Bd. of Equalization*, 329 U.S. 69, 82–83 (1946) (finding oil stored in a vessel was

[10] In *Kosydar*, the Court explained the benefits of a bright-line rule:

> It may be said that insistence upon an actual movement into the stream of export in the case at hand represents an overly wooden or mechanistic application of the *Coe* doctrine. This is an instance, however, where we believe that simplicity has its virtues. The Court recognized long ago that even if it is not an easy matter to set down a rule determining the moment in time when articles obtain the protection of the Import-Export Clause, "it is highly important, both to the shipper and to the State, that it should be clearly defined so as to avoid all ambiguity or question."

Kosydar v. Nat'l Cash Reg. Co., 417 U.S. 62, 71 (1974) (quoting *Coe v. Errol*, 116 U.S. 517, 526 (1886)); *see A.G. Spalding & Bros. v. Edwards*, 262 U.S. 66, 69 (1923) ("[W]e have to fix a point at which, in view of the purpose of the Constitution, the export must be said to begin. As elsewhere in the law there will be other points very near to it on the other side, so that if the necessity of fixing one definitely is not remembered any determination may seem arbitrary.").

Copy from re:SearchTX

exempt even though "at the time of the delivery the vessel was in California waters and was not bound for its destination," noting that "when the oil was pumped into the hold of the vessel, it passed into the control of a foreign purchaser and there was nothing equivocal in the transaction which created even a probability that the oil would be diverted to domestic use"); *see Empresa Siderurgica v. County of Merced*, 337 U.S. 154, 156–57 (1949) ("[I]t is not enough that there is an intent to export, or a plan which contemplates exportation, or an integrated series of events which will end with it. . . . It is the entrance of the articles into the export stream that marks the start of the process of exportation. Then there is certainty that the goods are headed for their foreign destination and will not be diverted to domestic use. Nothing less will suffice.").

Under the "stream of export" doctrine,

> [o]nce exportation has begun, goods retain their "export" status, and thus remain exempt from state taxation as long as they are in transit. Temporary interruptions "due to the necessities of the journey or for the purpose of safety and convenience in the course of the movement" do not break the continuity of transit; however, stoppages that serve the owner's business purpose interrupt the goods' continuity of transit, rendering them subject to the taxing power of the state.

Va. Indon. Co. v. Harris Cnty. Appraisal Dist. (*VICO*), 910 S.W.2d 905, 908 (Tex. 1995) (citing *Minnesota v. Blasius*, 290 U.S. 1, 9–10 (1933)).

2. *Michelin*

In *Michelin Tire Corp. v. Wages*, 423 U.S. 276, 301 (1976), the United States Supreme Court "adopted a fundamentally different approach to cases claiming the protection of the Import-Export Clause." *Limbach v. Hooven & Allison Co.*, 466 U.S. 353, 359 (1984). There, a Georgia county assessed ad valorem property taxes on tires and tubes which had been imported from France and Canada and were being stored at Michelin's wholesale distribution warehouse in the county. *Michelin*, 423 U.S. at 278–79.

Copy from re:SearchTX

The products were destined for resale to customers at one of Michelin's franchised dealers in the region. *Id.* at 280. Relying on *Low*, the Georgia Supreme Court first summarily rejected Michelin's argument that "an annual ad valorem tax is not a tax . . . within the meaning of the federal constitutional provision." *Wages v. Michelin Tire Corp.*, 214 S.E.2d 349, 355 (Ga. 1975), *aff'd*, 423 U.S. 276. Then, applying the "original package" doctrine, the Georgia court held that the "unpackaged" tires lost their status as "imports" and were subject to taxation, but the tubes—which remained in the original "corrugated cartons" in which they were shipped—were exempt. *Id.*[11]

The United States Supreme Court affirmed the Georgia court's decision "without addressing the question whether [it] was correct in holding that the tires had lost their status as imports." *Michelin*, 423 U.S. at 279. Instead, the Court reframed the issue and held that "nondiscriminatory ad valorem property taxes are not prohibited by the Import-Export Clause" because they are not "Imposts or Duties" within the meaning of the clause. *Id.* at 301.[12] It reasoned as follows:

> The Framers of the Constitution . . . sought to alleviate three main concerns by committing sole power to lay imposts and duties on imports in the Federal Government, with no concurrent state power: [1] the Federal Government must speak with one voice when regulating commercial relations with foreign governments, and tariffs, which might affect foreign

---

[11] The Georgia court observed that the "original package" doctrine

> has been almost universally applied, in a mechanical way, for about 150 years. The great weight of authority makes a vast distinction between goods shipped in packaging, such as crates or cartons, and goods shipped in bulk. Packaged imports retain their status as imports, and are not subject to taxation. Bulk imports that have been mingled with other bulk imports, sorted, and arranged for sale do not retain their status as imports, and they are subject to taxation.

Wages v. Michelin Tire Corp., 214 S.E.2d 349, 355 (Ga. 1975), *aff'd*, 423 U.S. 276 (1976) (noting that "[w]hat we do in this case is to merely 'draw a line,' and it is, admittedly, a difficult line to draw").

[12] The United States Supreme Court later noted that, although the framers granted Congress the "Power To lay and collect Taxes, Duties, Imposts and Excises" in the Commerce Clause, they limited the Import-Export Clause's ban to "Imposts or Duties," thereby indicating an intent to restrict the scope of that clause. *Dep't of Revenue of State of Wash. v. Ass'n of Wash. Stevedoring Cos.*, 435 U.S. 734, 759 (1978).

Copy from re:SearchTX

relations, could not be implemented by the States consistently with that exclusive power; [2] import revenues were to be the major source of revenue of the Federal Government and should not be diverted to the States; and [3] harmony among the States might be disturbed unless seaboard States, with their crucial ports of entry, were prohibited from levying taxes on citizens of other States by taxing goods merely flowing through their ports to the other States not situated as favorably geographically.

Nothing in the history of the Import-Export Clause even remotely suggests that a nondiscriminatory ad valorem property tax which is also imposed on imported goods that are no longer in import transit was the type of exaction that was regarded as objectionable by the Framers of the Constitution. For such an exaction, unlike discriminatory state taxation against imported goods as imports, was not regarded as an impediment that severely hampered commerce or constituted a form of tribute by seaboard States to the disadvantage of the other States.

It is obvious that such nondiscriminatory property taxation can have no impact whatsoever on the Federal Government's exclusive regulation of foreign commerce, probably the most important purpose of the Clause's prohibition. By definition, such a tax does not fall on imports as such because of their place of origin. It cannot be used to create special protective tariffs or particular preferences for certain domestic goods, and it cannot be applied selectively to encourage or discourage any importation in a manner inconsistent with federal regulation.

Nor will such taxation deprive the Federal Government of the exclusive right to all revenues from imposts and duties on imports and exports, since that right by definition only extends to revenues from exactions of a particular category; if nondiscriminatory ad valorem taxation is not in that category, it deprives the Federal Government of nothing to which it is entitled. Unlike imposts and duties, which are essentially taxes on the commercial privilege of bringing goods into a country, such property taxes are taxes by which a State apportions the cost of such services as police and fire protection among the beneficiaries according to their respective wealth; there is no reason why an importer should not bear his share of these costs along with his competitors handling only domestic goods. *The Import-Export Clause clearly prohibits state taxation based on the foreign origin of the imported goods, but it cannot be read to accord imported goods preferential treatment that permits escape from uniform taxes imposed without regard to foreign origin for services which the State supplies.* It may be that such taxation could diminish federal impost revenues to the extent its economic burden may discourage purchase or importation of foreign goods. The prevention or avoidance of this incidental effect was not, however, even remotely an objective of the Framers in enacting the prohibition.

Copy from re:SearchTX

. . . .

> [S]ince prohibition of nondiscriminatory ad valorem property taxation would not further the objectives of the Import-Export Clause, only the clearest constitutional mandate should lead us to condemn such taxation. The terminology employed in the Clause "Imposts or Duties" is sufficiently ambiguous that we decline to presume it was intended to embrace taxation that does not create the evils the Clause was specifically intended to eliminate.

423 U.S. 276 at 285–87, 293–94 (emphasis added, internal citations and quotations omitted). *Michelin* explicitly overruled *Low* to the extent that it conflicted with its holding. *Id.* at 279.[13] However, it was careful to note that the tires at issue "were no longer in transit," and it suggested that the result would be different in a case involving "goods which are merely in transit through the State when the tax is assessed." *Id.* at 290.[14]

The Court applied *Michelin* two years later in *Department of Revenue of State of Washington v. Ass'n of Washington Stevedoring Cos.*, 435 U.S. 734 (1978). There, Washington assessed a business and occupation tax on stevedoring, i.e., "the business of loading and unloading cargo from ships." *Id.* at 737. The United States Supreme Court

---

[13] Because it reframed the issue, the *Michelin* Court did not explicitly abrogate the "original package" doctrine as a mechanism for determining whether a product has retained its character as an "import." *Michelin Tire Corp. v. Wages*, 423 U.S. 276, 279, 301 (1976). Similarly, because it was not an export case, *Michelin* did not explicitly reject the "stream of export" doctrine as a mechanism for determining whether a product has attained the character of an "export." Instead, the crux of *Michelin* is that whether a product is considered an "import" or "export" is irrelevant, because regardless of how the goods are characterized, a tax thereon will pass constitutional muster if and only if it advances the objectives of the Import-Export Clause. *See id.* at 294.

[14] The Court explained:

> An evil to be prevented by the Import-Export Clause was the levying of taxes which could only be imposed because of the peculiar geographical situation of certain States that enabled them to single out goods destined for other States. In effect, the Clause was fashioned to prevent the imposition of exactions which were no more than transit fees on the privilege of moving through a State. A non-discriminatory ad valorem property tax obviously stands on a different footing, and *to the extent there is any conflict whatsoever with this purpose of the Clause, it may be secured merely by prohibiting the assessment of even nondiscriminatory property taxes on goods which are merely in transit through the State when the tax is assessed*.

Id. at 289–90 (footnotes omitted and emphasis added).

Copy from re:SearchTX

first held generally that "the *Michelin* approach should apply to taxation involving exports as well as imports." *Id.* at 758 (citations and footnotes omitted). And it found that the Washington tax was assessed on "transportation services . . . necessary to the import-export process." *Id.* at 757. Nevertheless, because the tax did not "relate[] to the value of the goods," the Court held it "[cannot] be considered taxation upon the goods themselves." *Id.* (citing *Canton R.R. Co. v. Rogan*, 340 U.S. 511, 514–15 (1951) ("The difference is that in the present case the tax is not on the goods, but on the handling of them at the port. An article may be an export and immune from a tax long before or long after it reaches the port. But when the tax is on activities connected with the export or import the range of immunity cannot be so wide.")). Moreover, the Washington tax "violates none of the constitutional policies identified in *Michelin*." *Id.* at 761. Thus, even though the imported and exported goods were still "in transit" at the time the tax was assessed, the tax was "not among the 'Imposts or Duties' within the prohibition of the Import-Export Clause." *Id.* at 755 ("Under the analysis of *Michelin*, then, the application of the Washington business and occupation tax to stevedoring violates no Import-Export Clause policy and therefore should not qualify as an 'Impost or Duty' subject to the absolute ban of the Clause."). The Court explicitly declined to "reach the question of the applicability of the *Michelin* approach when a State directly taxes imports or exports in transit." *Id.*

3. *Diamond Shamrock*

The constitutionality of direct State taxation of crude oil was at issue before the Texas Supreme Court in *Diamond Shamrock Refining & Marketing Co. v. Nueces County Appraisal District*, 876 S.W.2d 298 (Tex. 1994). That case involved imported oil stored at

Copy from re:SearchTX

the Harbor Island storage facility in Nueces County, which was appraised to be part of Diamond Shamrock's taxable property in the county for tax years 1988, 1989, and 1990. *Id.* at 298. "The oil in question was shipped from foreign sources through the Gulf of Mexico, off-loaded at [Harbor Island], held there in tanks, and transmitted by pipeline to Diamond Shamrock's refinery in Three Rivers, Live Oak County, Texas." *Id.* at 299. Some of the oil "was always present at Harbor Island between 1987 and 1990, although the particular oil in the tanks on January 1, 1988, 1989 and 1990 was actually present for a maximum period of 12 to 25.3 days." *Id.* (noting that "[t]he government provides services to the Harbor Island facility in general and to Diamond Shamrock's crude oil in particular"). This Court held that the tax was permissible under the Import-Export Clause. *Nueces Cnty. Appraisal Dist. v. Diamond Shamrock Ref. & Mktg. Co.*, 853 S.W.2d 212, 214–18 (Tex. App.—Corpus Christi–Edinburg 1993), *aff'd*, 876 S.W.2d 298.

In the Texas Supreme Court, the parties stipulated that the oil was "in transit" while in Nueces County, and Diamond Shamrock argued that it was exempt from taxation under the Import-Export Clause for that reason. *Diamond Shamrock*, 876 S.W.2d at 299–300.[15] The Court rejected that argument:

> The tax in question here does not in any way impinge on the third "harmony among the States" policy of the Import-Export Clause. Although still on its foreign import journey and in that sense "in transit," the oil in question here entered only the State of Texas and, according to the stipulated facts, never left Texas in its crude oil form. Thus, there simply was no opportunity for harmony between the states to be disturbed. Read in context, the *Michelin* Court's qualification clearly applies only to goods in transit through the state to or from another state and not to goods merely in transit within the only state the goods ever enter. *See* Robert C.W. Frantz, Comment, *Constitutional Law—Nondiscriminatory Ad Valorem Tax May Be Applied To*

[15] In response, the appraisal district argued that the property was not exempt because "none of the evils prevented by application of the Import-Export Clause . . . are implicated by its taxation of Diamond Shamrock's oil." *Diamond Shamrock Ref. & Mktg. Co. v. Nueces Cnty. Appraisal Dist.*, 876 S.W.2d 298, 299 (Tex. 1994).

Copy from re:SearchTX

> *Imports*, 30 RUTGERS L.REV. 193, 197 (1976) (defining the "transit" discussed by the *Michelin* Court as "i.e., travelling through the importing state en route to another"). Under the Import-Export Clause, the oil is taxable in Texas.

Id. at 300–301 (footnotes omitted). The Court noted that

> the "in transit" nature of the oil does not bring its taxation in Nueces County into conflict with the first two policy prongs of the Import-Export Clause, as identified in *Michelin*. Although a tax on goods in transit into the foreign export stream of commerce may negatively impact the "one voice" policy, it is clear under *Michelin* that a nondiscriminatory ad valorem tax on imported goods does not violate either of the first two policy prongs of the Clause, regardless of whether the goods are in transit or not.

Id. at 301 n.3 (citation omitted).

4. *VICO*

The Texas Supreme Court applied these principles in the export context in *VICO*. There, the appellant "purchase[d] goods from vendors throughout the United States" on behalf of an "Indonesian oil and gas exploration joint venture." 910 S.W.2d at 906.

> At the time of purchase, the goods are committed to foreign export and cannot thereafter be diverted to domestic use. The goods are transported from the vendors directly to an independent export packer in Houston, Harris County, Texas. Upon arriving at the export packer's facility, the goods are checked to confirm that the proper items were shipped, and that they meet specifications required for import to Indonesia. Any dispute over the items are resolved at that time. VICO then requests approval from Indonesia to import the goods. When approval is granted, an international inspection agency inspects the goods on behalf of Indonesia and clears the goods for shipment. The goods are then packed and shipped abroad on the next available vessel.
>
> In most instances, the goods remain with the export packer no longer than 45 days while these procedures are being performed. In exceptional cases, however, this period may be somewhat longer: if the goods received from the vendor are damaged or defective, or if VICO encounters problems obtaining approval for import to Indonesia, the goods may remain with the export packer for up to 175 days. VICO has some quantity of goods present at the export packer's facility year-round.

Id. at 907. VICO sued after its taxable property was assessed to include property located

Copy from re:SearchTX

at the export packer's facility. *Id.* In a summary judgment motion, VICO argued that "its goods are merely in transit through Texas and that they are therefore immune from state taxation under the import-export and commerce clauses." *Id.* Relatedly, VICO also argued that "neither *Michelin* nor its progeny have altered the fundamental rule that goods in the export stream of commerce are exempt from taxation." *Id.* at 910.

After reviewing the cases discussed above, the Court agreed with VICO, concluding that the "stream of export" doctrine has continued validity, despite *Michelin*. *Id.* at 908. The Court noted that, "[a]lthough the *Michelin* court rejected the original package doctrine, it did not overrule *Coe v. Errol* or any of the stream of export cases." *Id*. at 911–12 (citing *Rodriguez de Quijas v. Shearson/Am. Exp., Inc.*, 490 U.S. 477, 484 (1989) ("If a precedent of this Court has direct application in a case, yet appears to rest on reasons rejected in some other line of decisions, the Court of Appeals should follow the case which directly controls, leaving to this Court the prerogative of overruling its own decisions.")). Instead, "[a]bandoning the original package doctrine 'brought *import* tax immunity into alignment with *export* tax immunity'" in that it eliminated a "loophole" which had shielded imported goods from taxation. *Id.* at 911 (quoting Frantz, *supra*, at 203). Moreover, "the rejection of the original package doctrine does not compel the conclusion that the *Michelin* court abandoned the rule of immunity for in-transit goods"; "[t]o the contrary, by explicitly articulating an exception for in-transit goods, *Michelin* appears to preserve bright-line immunity for goods in the stream of export." *Id.*

The Court then concluded that "VICO's goods were in the export stream of commerce when the tax was assessed." *Id.* at 912. It noted that "VICO's goods entered the export stream of commerce when they were shipped from the vendors to the export

Copy from re:SearchTX

packer's facility in Harris County because, at that point, the goods began their movement to a precommitted foreign destination." *Id.* Further, "the stoppage of VICO's goods in Harris County was attributable to an exportation, not a business, purpose." *Id.* at 913 (noting that, "[f]rom the moment of purchase, VICO retains no control to divert the goods from their precommitted foreign destination or to sell the goods in a domestic market"); *see id.* at 914–15 (noting that "[w]hile in Harris County, VICO's goods undergo only those procedures—inspection, approval for import to Indonesia, and packaging—required for exportation" and though "the delay necessary to perform these procedures is somewhat longer than that which is generally associated with a 'transportation' delay, it is no longer than is necessary to get the goods on their way to Indonesia"). Finally, the Court observed that "the tax imposed on VICO's goods transgresses the 'one voice' policy" as described in *Michelin*. *Id.* at 915 ("The tax at issue has the potential of interfering with the United States' commercial relations with Indonesia insofar as Indonesia might turn to other countries for its imported goods or might engage in retaliatory taxation of its own exports destined for the United States.").

C. Analysis

As the above review demonstrates, the approach taken by courts to the Import-Export Clause evolved in a complex fashion, at least until 1995. In shifting the relevant inquiry from the nature of the products taxed to the nature of the tax assessed, the *Michelin* Court attempted to bring the clause's operation into closer alignment with the three principal public policies motivating its adoption. But in doing this, the United States Supreme Court necessarily eschewed the bright-line simplicity of the "original package" doctrine and made the constitutional analysis more uncertain and fact-intensive. Further,

Copy from re:SearchTX

Michelin was an import case, and it was thus unclear to what extent its principles could be extended to the export context. By subsequently concluding that "the *Michelin* approach should apply to taxation involving exports as well as imports," the *Washington Stevedoring* Court seemed to offer clarity in that regard. *See* 435 U.S. at 758. Relying on this holding, the District claims that a state exaction on goods bound for export "is valid unless it interferes with the three policy concerns" identified in *Michelin*, regardless of whether the goods are "in transit," and it proceeds to argue that the tax assessed in this case does not offend any of those three policies.

Michelin and *Washington Stevedoring* instruct us to disregard whether goods are characterized as exports or imports, and to focus instead on the policies underlying the clause. However, *Washington Stevedoring* did not involve a "direct" tax on goods, and, as the Texas Supreme Court observed, the cases establishing the "stream of export" doctrine, such as *Coe*, were never explicitly overruled. *See VICO*, 910 S.W.2d at 912. Instead, noting that *Michelin* excluded "in transit" goods from its purview, the *VICO* Court construed *Michelin* as "preserv[ing] bright-line immunity for goods in the stream of export." *Id.*

We are bound by the Texas Supreme Court's construction and application of United States Supreme Court caselaw, including its analysis in *VICO*, which has not been revisited or abrogated in the thirty years since its issuance. *See Dall. Area Rapid Transit v. Amalgamated Transit Union Local No. 1338*, 273 S.W.3d 659, 666 (Tex. 2008) ("[T]he Supreme Court of Texas possesses the power, and thus the duty, to correct a decision of a Court of Civil Appeals that conflicts with the 'supreme law of the land' as established by the Congress and Supreme Court of the United States."); *Silguero v. State*, 287 S.W.3d

Copy from re:SearchTX

146, 150 (Tex. App.—Corpus Christi–Edinburg 2009, no pet.) ("As an intermediate appellate court, we are bound by supreme court precedent."). Under *VICO*, goods which are "in transit" out of the country or are "in the stream of export" enjoy "bright-line" immunity from taxation, regardless of whether the taxation advances the public policies which underlie the clause. *See* 910 S.W.2d at 912.[16]

1. Stream of Export

With these principles in mind, we proceed to consider whether the oil at issue here was indeed "in [export] transit" or "in the stream of export" at the time the tax was assessed. As appellees note, goods enter the stream of export when they "beg[i]n their movement to a precommitted foreign destination." *VICO*, 910 S.W.2d at 912 (first citing *Kosydar*, 417 U.S. at 70; then citing *Richfield Oil*, 329 U.S. at 82–83 (holding that delivery of oil into a storage tank of a foreign-bound steamer "marked the commencement of the movement of the oil abroad"); and then citing *A.G. Spalding & Bros. v. Edwards*, 262 U.S. 66, 68 (1923) (holding that delivery of goods to an export carrier for shipment abroad constituted a significant "step in exportation")).

Appellees contend that, according to the evidence, the subject oil had "beg[u]n [its] movement to a precommitted foreign destination" as of January 1, 2023. We agree. Horne stated in his affidavit that "[a]ll the barrels of crude oil relevant to this lawsuit" were "transported to the Corpus Christi Ship Channel by Devon exclusively for the purpose of fulfilling orders Glencore received from buyers seeking cargos of unrefined . . . oil to be delivered to foreign destinations." Bormaster similarly testified that "[a]ll the [oil] was sold

[16] As noted, the *VICO* Court found that "the tax imposed on VICO's goods transgresses the 'one voice' policy of the import-export clause." *Va. Indon. Co. v. Harris Cnty. Appraisal Dist.*, 910 S.W.2d 905, 914 (Tex. 1995). However, that finding was superfluous and unnecessary to the Court's analysis, as it had already concluded that "VICO's goods remain in the stream of export and immune from state taxation." *Id.*

Copy from re:SearchTX

to be delivered to foreign destinations." The District argues that appellees "do[] not actually know what happens to the oil after [they] transfer[] the oil to a purchaser in Corpus Christi Bay." But that is precisely what their representatives testified to in this case: Horne averred that "Glencore always exported the WTI in the Export Tanks to international markets and never diverted any of the WTI for domestic use;" Bormaster testified that "Gunvor exported all the WTI in the Export Tanks to international markets and never diverted any of the WTI for domestic use." In any event, though the District casts doubt on the affiants' ability to discern the ultimate destination of the oil, it does not dispute that their affidavits established that all of the subject oil had a "precommitted foreign destination" at the time of the appraisal. *See id.* Moreover, the District did not produce any evidence indicating that any of the oil was actually diverted for domestic use or otherwise creating a fact issue on this specific question. *See* TEX. R. CIV. P. 166a(c).

The District further contends that the oil could not have been "in transit" because it was extracted from wells in Texas[17] and was therefore not "merely flowing through" the state. It points to the observation in *Diamond Shamrock* that "the *Michelin* Court's qualification [for 'in transit' goods] clearly applies only to goods *in transit through the state to or from another state* and not to goods merely in transit within the only state the goods ever enter." 876 S.W.2d at 300–301 (emphasis added). We disagree. It is true that the oil in *Diamond Shamrock* was deemed taxable despite the parties' stipulation that it was "in transit." *See id.* However, that was an import case, and so the "stream of export" doctrine was not applied; instead, the Texas Supreme Court evaluated the effect of the tax at issue

[17] According to the affidavits, the oil originated from wells throughout the Permian Basin, which is mostly in Texas but extends into New Mexico. *See* R.R. COMM'N OF TEX., Permian Basin Information, https://www.rrc.texas.gov/oil-and-gas/major-oil-and-gas-formations/permian-basin (last visited Jan. 7, 2026).

Copy from re:SearchTX

on the policies identified in *Michelin*. *See id.* For the reasons set forth above, under *VICO*, such an evaluation is not necessary in this case.

The development of the caselaw strongly indicates that, though state taxation of imports and state taxation of exports are banned by the same constitutional provision, the factors considered in an analysis differ greatly depending on whether the taxed goods are destined to depart the country or have just arrived in it. To be more specific, because it was an import case, *Diamond Shamrock* does not compel the conclusion that oil "in *export* transit" may nevertheless be taxable. In any event, as appellees note, *Diamond Shamrock* was decided before *VICO*, which for the first time clarified that the "in transit" and "stream of export" analyses are essentially equivalent in export cases.

2. Constant Presence

The District next argues that "[r]egardless of whether [appellees'] oil was ultimately loaded onto ships for foreign export, the oil is still taxable in San Patricio County because a vast quantity of oil is constantly present in the tank farms in San Patricio County."[18] Citing a 1991 case in which it was involved, the District contends that "the oil's presence in San Patricio County is continuous" and it is not "merely passing through" the state or the county. *See Exxon Corp. v. San Patricio Cnty. Appraisal Dist.*, 822 S.W.2d 269 (Tex. App.—Corpus Christi-Edinburg 1991, writ denied).

In *Exxon*, we considered whether crude oil in transit through San Patricio County

[18] The District notes that it does not appraise "every drop of oil that is ever in the tanks" but rather "only appraises what is in the tanks on January 1," which "is a mere fraction of the oil that passes through the tanks and is a proxy for the oil constantly present in the tanks." But the District is only authorized to appraise property situated in the county on January 1 for more than a temporary period, TEX. TAX CODE § 21.02(a)(1); if oil is "pass[ing] through the tanks," it is there temporarily. In any event, according to testimony, the minimum volume of oil necessary for the tanks to remain operational is far less than that which was appraised to be present on January 1, 2023. And the District points to no evidence indicating that the volume of oil present in the tanks on January 1 was different than any other day of the year.

Copy from re:SearchTX

acquired situs there for tax purposes. *See id.* at 271–74. Exxo n argued that, because "each barrel of oil appraised on January 1, 1988[,] remained only temporarily in, and was merely being transported through, the county," it "could not have attained situs there" for the 1988 tax year. *Id.* at 271; *see id.* at 274 ("Property will acquire a situs when it has been located in the area with such permanence that it becomes a part of the general mass of property within the boundaries of the taxing authority."); *see also* TEX. TAX CODE § 21.02(a)(1). On the other hand, the District argued that "because Exxon maintained at least 400,000 barrels of oil in seventeen working tanks in the County at all times, the oil had been located there with such a degree of permanence that the oil became part of the general mass of property within the County." *Exxon*, 822 S.W.2d at 271.

We agreed with the District for two principal reasons. First, we noted that, in "determining whether a large quantity of oil is to be taxed," we do not "consider the situs of each individual barrel separately." *Id.* at 272. We explained:

> The fact that each individual barrel does not remain in the County for more than seventeen days, but rather flows sporadically through the working tanks, is inconsequential. We do not view this mass of oil as a continual flow of singular barrels which independently do not remain in the County long enough to establish a tax situs there. Rather, because Exxon held a quantity of over 400,000 barrels of oil in San Patricio County in seventeen tanks at all times, a massive quantity was located in the County throughout 1987 and 1988 for more than a temporary period. That the particular oil present on January 1, 1988, shortly left the county is not determinative.

Id. at 272–73. Second, we noted that "the controlling issue is not only the property's presence within the taxing authority's borders, but also the taxpayer's activities within the governmental unit and the opportunities and protections the government affords to those activities." *Id.* at 274 (citing *Aransas Cnty. Appraisal Rev. Bd. v. Tex. Gulf Shrimp Co.*, 707 S.W.2d 186, 191 (Tex. App.—Corpus Christi–Edinburg 1986, writ ref'd n.r.e.) ("Whether property has a tax situs in a particular state is purely a due process

Copy from re:SearchTX

question. . . . The test under the Due Process Clause is whether the tax in practical operation has relation to opportunities, benefits, or protections conferred or afforded by the taxing State." (internal quotation omitted))). Because "San Patricio County provided protection to the oil and bore a substantial risk of significant financial injury in the event of a mishap, such as a massive leak or fire," the tax was proper. *Id*.

Exxon did not involve imports or exports, and it did not discuss whether the oil was "in transit" or in the "stream of export." Moreover, though some courts have considered taxpayer activities and government protections in determining whether property is taxable, that is not among the policy considerations referred to in *Michelin* or any other Import-Export Clause case. Therefore, *Exxon* has limited relevance here.[19] Nevertheless, it is instructive to the extent it explores the difference between the tax treatment of fungible property, such as fluid or a grain commodity, and discrete, countable items such as ordinary consumer products. We concluded that "[i]t would be inappropriate when analyzing a quantity of fungible personal property for purposes of discerning its proper tax situs to find that the quantity should be broken down into individual units." *Id.* at 273. This approach would also be inappropriate for purposes of discerning whether such property was in the stream of export. As both parties concede, due to the physical nature of oil as a fungible fluid, it is impossible to describe which specific portions remained in the tanks and which were exported. Here, it is undisputed that several tens of thousands of barrels had to remain in the subject tanks at all times in order for them to function properly, but under *Exxon*, we do not consider those "tank heels," which export customers

[19] The District cites no authority, and we find none, indicating that property may be taxed, despite its presence in the "stream of export," so long as the quantity is sufficiently "vast."

Copy from re:SearchTX

are responsible for maintaining, separately from the remainder of the oil in the tanks. All of it had a "precommitted foreign destination" and all of it entered the "stream of export."

3. Purpose of Temporary Stoppage

Having concluded the oil entered the stream of export, we finally consider whether the "continuity of transit" was broken by its storage in tanks in San Patricio County.[20]

The effect of a "temporary stoppage" of goods in the stream of export depends on the purpose of the stoppage. *VICO*, 910 S.W.2d at 912. "If the stoppage is attributable to the business purpose of the owner, then the exportation is deemed to have terminated, and the goods are subject to tax in the jurisdiction of their stoppage." *Id.* (citing *Blasius*, 290 U.S. at 11–12). "For instance, if goods are delayed for the purpose of further processing or for storage pending the receipt of orders, the goods are no longer in the stream of commerce." *Id.* (first citing *Bacon v. Illinois*, 227 U.S. 504 (1913) (holding that stoppage of grain for processing served owner's business purpose); and then citing *Blasius*, 290 U.S. at 12 (holding that storage of inventory awaiting orders served owner's business purpose)). But if a stoppage is "due to the necessities of the journey or for the purpose of safety and convenience in the course of the movement," the "continuity of transit is not interrupted, and the goods remain immune from taxation throughout the stoppage." *Id.* (quoting *Blasius*, 290 U.S. at 9–10). "Delays that are incidental to the journey and to a necessary change in the mode of transportation do not affect the continuity of transit." *Id.*

In *VICO*, when the goods were stopped in Harris County, they underwent "only

[20] The District does not discuss this matter in its briefs. We address it out of an abundance of caution and in our sole discretion.

Copy from re:SearchTX

those procedures—inspection, approval for import to Indonesia, and packaging—required for exportation," and the delay was "no longer than is necessary to get the goods on their way" to their foreign destination; therefore, the stoppage was "attributable to an exportation, not a business, purpose." *Id.* at 913. Here, both Horne and Bormaster testified that the oil is stored in the tank farms until such time as there is "sufficient volume of product" to "completely load the vessel without having to await arrival of the final barrels" of oil. Crucially, both stated that the export terminals decide when to call the vessel into berth and that appellees could not use the export terminals without first storing the accumulated oil at the tank farms. We conclude that this testimony established the stoppage in San Patricio County was "attributable to an exportation, not a business, purpose." *See id.* The District points to no controverting evidence raising a fact issue. Accordingly, the continuity of transit was not interrupted, and the oil is exempt from taxation.

For the reasons set forth above, the trial court did not err in granting summary judgment in favor of appellees. *See* TEX. R. CIV. P. 166a(c). The District's second issues are overruled.

IV. CONCLUSION

Having concluded that the subject oil was in the stream of export and therefore enjoyed "bright-line" immunity from taxation under the Import-Export Clause of the United States Constitution, we affirm the trial courts' judgments.

YSMAEL D. FONSECA
Justice

Delivered and filed on the
8th day of January, 2026.

Copy from re:SearchTX



THE THIRTEENTH COURT OF APPEALS

13-25-00027-CV

SAN PATRICIO COUNTY APPRAISAL DISTRICT
v.
DEVON GAS SERVICES, L.P., AS AGENT FOR GLENCORE LTD.

On Appeal from the
36th District Court of San Patricio County, Texas
Trial Court Cause No. S-23-5724CV-A

JUDGMENT

THE THIRTEENTH COURT OF APPEALS, having considered this cause on appeal, concludes that the judgment of the trial court should be affirmed. The Court orders the judgment of the trial court AFFIRMED. Costs of the appeal are adjudged against appellant.

We further order this decision certified below for observance.

January 8, 2026

NO. S-23-5724CV-A

DEVON GAS SERVICES, L.P., as agent for GLENCORE LTD.,	§	**IN THE DISTRICT COURT OF**
Plaintiff,	§	**SAN PATRICIO COUNTY, TEXAS**
v.	§	
SAN PATRICIO COUNTY APPRAISAL DISTRICT,	§	**36th JUDICIAL DISTRICT**
Defendant.	§	

ORDER GRANTING PLAINTIFF'S MOTION FOR FINAL SUMMARY JUDGMENT

On this day came to be heard Plaintiff Devon Gas Services, L.P.'s, as agent for Glencore Ltd., Motion for Final Summary Judgment (Motion). Upon due consideration of the Motion, any responses thereto, and the evidence and arguments of counsel, the Court finds that the Motion is meritorious and should be GRANTED. It is, therefore:

ORDERED that the Motion is GRANTED.

This Final Summary Judgment is a final judgment that disposes of all claims and all parties and is appealable.

Signed October 23, 2024.

Presiding Judge

United States Code Annotated
Constitution of the United States
Annotated
Article I. The Congress

U.S.C.A. Const. Art. I § 10, cl. 2

Section 10, Clause 2. Duties on Imports

Currentness

No State shall, without the Consent of the Congress, lay any Imposts or Duties on Imports or Exports, except what may be absolutely necessary for executing its inspection Laws: and the net Produce of all Duties and Imposts, laid by any State on Imports or Exports, shall be for the Use of the Treasury of the United States; and all such Laws shall be subject to the Revision and Controul of the Congress.

Notes of Decisions (97)

U.S.C.A. Const. Art. I § 10, cl. 2, USCA CONST Art. I § 10, cl. 2
Current through P.L. 119-59. Some statute sections may be more current, see credits for details.

End of Document

© 2026 Thomson Reuters. No claim to original U.S. Government Works.

Automated Certificate of eService

This automated certificate of service was created by the efiling system.
The filer served this document via email generated by the efiling system
on the date and to the persons listed below:

Brian McDonnell on behalf of Kirk Swinney
Bar No. 19588400
bmcdonnell@lsejlaw.com
Envelope ID: 116377795
Filing Code Description: Brief on the Merits (all briefs)
Filing Description: Petitioner's Consolidated Brief on the Merits
Status as of 6/19/2026 3:47 PM CST

Case Contacts

Name	BarNumber	Email	TimestampSubmitted	Status
Daniel Durell	24078450	daniel.durell@troutman.com	6/19/2026 2:59:21 PM	SENT
Kirk Swinney		kswinney@lsejlaw.com	6/19/2026 2:59:21 PM	SENT
Mayank Raj		mraj@lsejlaw.com	6/19/2026 2:59:21 PM	SENT
William FIkard		bill@ikardyoung.com	6/19/2026 2:59:21 PM	SENT
Cole Hutchison		cole.hutchison@troutman.com	6/19/2026 2:59:21 PM	SENT

Associated Case Party: Devon Gas Services, L.P., as agent for Glencore, LTD.

Name	BarNumber	Email	TimestampSubmitted	Status
Charles Galindo	24078528	charles@ikardyoung.com	6/19/2026 2:59:21 PM	SENT
Timothy Young	22212020	tim@ikardyoung.com	6/19/2026 2:59:21 PM	SENT